

Amendment No. 1 to SB0459

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 459

House Bill No. 390*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 68, Chapter 7, is amended by adding the following as a new part:

68-7-201. Definitions.

As used in this part:

(1) "Approved state" means the states of Arkansas, Delaware, Missouri, Ohio, Rhode Island, Utah, and other states as determined by the commission. In approving other states, the commission shall consider whether other states allow participation in a medical cannabis program by citizens of this state. Other considerations include provisions for seed-to-sale tracking, packaging, labeling, and a licensing structure;

(2) "Awarded licensee" means a person or entity that has been awarded a medical cannabis license through the lottery-based selection process established under this part;

(3) "Background check" means a fingerprint-based criminal history record check conducted by the federal bureau of investigation pursuant to 28 U.S.C. § 534 and applicable federal regulations;

(4) "Bona fide physician-patient relationship" means a treating or consulting relationship, during the course of which a medical cannabis physician has:

(A) Completed an initial in-person examination and assessment of the patient's medical history and current medical condition;

(B) Consulted with the patient with respect to the possible medical, therapeutic, and palliative properties of medical cannabis;

(C) Advised the patient of the possible risks and side effects associated with the use of medical cannabis, including addiction and interactions between medical cannabis and any other drug or medication that the patient is taking at that time; and

(D) Established an expectation that the physician will provide follow-up care and treatment to the patient in accordance with administrative regulations promulgated pursuant to this part;

(5) "Board" means the board of medical examiners and board of osteopathic examination;

(6) "Buildout completion" means that the licensed facility meets the following requirements:

(A) All construction, renovation, and physical improvements required to operate the licensed medical cannabis business are substantially complete;

(B) All required equipment, security systems, inventory tracking systems, and operational infrastructure are installed and operational;

(C) The facility meets all applicable building codes, fire codes, health and safety standards, and local zoning requirements;

(D) The facility has obtained all required certificates of occupancy, business permits, and regulatory approval necessary for operation;

(E) The facility is ready to commence medical cannabis operations upon final approval from the department; and

(F) The facility meets all requirements set forth in the department's rules and regulations for the applicable license type;

(7) "Cannabis business" means an entity licensed under this part as a cultivator, dispensary, processor, or testing laboratory;

(8) "Cannabis business agent" means a principal officer, board member, employee, volunteer, or agent of a cannabis business;

(9) "Commission" means the medical marijuana commission;

(10) "CSD" means the controlled substance database;

(11) "Cultivator" means an entity licensed as such under this part;

(12) "Cultivator agent" means a principal officer, board member, employee, volunteer, or agent of a cultivator;

(13) "Daily dosage" means the total amount of one (1) or more cannabis derivatives, including, but not limited to, cannabidiol and tetrahydrocannabinol, which may be present in a medical cannabis product that may be ingested by a registered qualified patient during a twenty-four-hour period, as determined by a registered certifying physician;

(14) "Department" means department of health or any successor agency responsible for administering the medical cannabis program;

(15) "Dispensary" means an entity licensed as such under this part;

(16) "Dispensary agent" means a principal officer, board member, employee, volunteer, or agent of a dispensary;

(17) "Disqualified Condition" means untreated substance use disorder;

(18) "Disqualifying felony offense" means:

(A) A felony offense that would classify the person as a violent offender under § 16-22-103; or

(B) A violation of a state or federal controlled substance law that was classified as a felony in the jurisdiction where the person was convicted, except:

(i) An offense for which the sentence, including any term of probation, incarceration, or supervised release, was at least five (5) years earlier; or

(ii) An offense that consisted of conduct for which this part would likely have prevented a conviction, but the conduct either occurred prior to the enactment of this part or was prosecuted by an authority other than this state;

(19) "Enclosed, locked facility" means an indoor growing space such as a room, greenhouse, building, or other indoor enclosed area that is maintained and operated by a cultivator and is equipped with locks and other security devices that permit access only by authorized agents of the cultivator;

(20) "Geographic zone" or "zone" means a geographic region established by the commission;

(21) "Growth area" means the same as an enclosed, locked facility;

(22) "Inspection date" means the date that is exactly six (6) months following the date on which the department issued a medical cannabis license to the awarded licensee;

(23) "License" or "medical cannabis license" means a license issued under this part for a medical cannabis dispensary, grower, processor, or any other license type established by the department;

(24) "Licensed pharmacist" or "pharmacist" means an individual who holds a current, active, and unrestricted license to practice pharmacy in this state, pursuant to title 63, chapter 10;

(25) "Lottery-based selection" means the random selection process selected by the medical marijuana commission or other body pursuant to § 68-7-214 to award initial medical cannabis licenses and merit-based lottery medical cannabis licenses from among qualified applicants;

(26) "Marijuana" means the same as defined in § 39-17-402;

(27) "Medical cannabis":

(A) Means marijuana when cultivated, harvested, processed, produced, transported, dispensed, distributed, sold, possessed, or used in accordance with this part;

(B) Includes medical cannabis products, raw plant material, and concentrated extract; and

(C) Does not include hemp, as defined in § 43-27-101, hemp products, or hemp-derived cannabinoid products;

(28) "Medical cannabis accessories" means any equipment, product, or material of any kind which is used, intended for use, or designed for use in preparing, storing, using, or consuming medical cannabis in accordance with this part;

(29) "Medical cannabis physician" means a physician who is authorized to prescribe controlled substances;

(30) "Medical cannabis product"

(A) Means a medical grade product in the form of any of the following that contains a derivative of cannabis for medical use by a registered qualified patient pursuant to this part:

- (1) Oral tablet, capsule, or tincture;
- (2) Non-sugarcoated gelatinous product;
- (3) Gel, oil, cream, or other topical preparation;
- (4) Suppository;

(5) Transdermal patch;

(6) Nebulizer; or

(7) Liquid or oil for administration using an inhaler; and

(B) Does not include:

(1) Raw plant material;

(2) A product administered by smoking; or

(3) Hemp products;

(31) "Merit-based backup pool" means the pool of qualified applicants established under § 68-7-216 who are eligible to receive forfeited licenses;

(32) "Minor" means a person less than eighteen (18) years of age;

(33) "Out-of-state registry identification card" means a registry identification card, or an equivalent document, that was issued pursuant to the laws of another state, district, territory, commonwealth, or insular possession of the United States;

(34) "Per-zone license limit" means the maximum number of licenses of each specific license type that may be awarded within a single geographic zone;

(35) "Possession limit" means the limit of an acceptable form of medical cannabis a qualified patient or designated caregiver may possess at any time;

(36) "Prescription" means a written or oral order for drugs or medical devices issued by a duly licensed physician authorized by law to prescribe in the course of such physician's professional practice for a legitimate medical purpose.

(37) "Processor" means an entity licensed by the department and authorized to purchase cannabis from a cultivator and extract derivatives from the cannabis to produce a medical cannabis product for sale and transfer in packaged and labeled form to a dispensing site;

(38) "Processor agent" means a principal officer, board member, employee, volunteer, or agent of a processor;

(39) "Program expansion" means legislative action that increases the total number of medical cannabis licenses authorized under this part beyond the number initially authorized;

(40) "Qualified patient" means a person who is:

(A) A resident of this state; and

(B) A patient who has been diagnosed by a qualified physician as having a qualifying medical condition;

(41) "Qualified physician" means a person who holds an active, valid, and unrestricted license as a physician under title 63, chapter 6 or as an osteopathic physician under title 63, chapter 9;

(42) "Qualifying medical condition" means:

(A) Alzheimer's disease;

(B) Amyotrophic lateral sclerosis (ALS);

(C) Cancer, when such disease is diagnosed as end stage or the treatment produces related wasting illness, recalcitrant nausea and vomiting, or pain;

(D) Inflammatory bowel disease, including Crohn's disease and ulcerative colitis;

(E) Epilepsy or seizures;

(F) Multiple sclerosis;

(G) Parkinson's disease;

(H) Human immunodeficiency virus (HIV) or acquired immunodeficiency syndrome (AIDS); or

(I) Sickle cell disease;

(43) "Raw plant material":

(A) Means the trichome-covered part of the female plant Cannabis sp. or any mixture of shredded leaves, stems, seeds, and flowers of the Cannabis sp. plant; and

(B) Does not include plant material obtained from hemp;

(44) "Safety sensitive occupation" means a position designated as safety sensitive under federal law or regulation, including positions subject to federal department of transportation drug testing requirements under 49 CFR Part 40 and § 50-9-103;

(45) "Seedling" means a medical cannabis plant that has no flowers and is not taller than twenty-four inches (24");

(46) "Seed-to-sale tracking system" means the tracking system established pursuant to this part that tracks all cannabis and medical cannabis in this state;

(47) "Serious violation" means:

(A) A violation of this part or an administrative regulation promulgated thereunder that is capable of causing death or which causes serious and prolonged disfigurement, prolonged impairment of health, or prolonged loss or impairment of the function of any bodily organ;

(B) The diversion of medical cannabis for use not regulated pursuant to this part; or

(C) An act that would constitute a violation of title 39, chapter 17, part 4;

(48) "Smoking" means the inhalation of smoke produced from the combustion of raw plant material when ignited by a flame;

(49) "State licensing board" means:

(A) The board of medical examiners, board of osteopathic examiners, or board of pharmacy;

(50) "Telehealth" means the application of telecommunication technology to deliver healthcare services remotely to assess, diagnose, and treat health conditions;

(51) "Testing laboratory" means an entity authorized to test cannabis to ensure the product meets safety qualifications required under this part;

(52) "Testing laboratory agent" means a principal officer, board member, employee, volunteer, or agent of a testing laboratory;

(53) "Use of medical cannabis":

(A) Includes the acquisition, administration, possession, transfer, transportation, or consumption of medical cannabis or medical cannabis accessories by a patient in accordance with this part; and

(B) Does not include:

(i) Cultivation of marijuana by a patient;

(ii) The use or consumption of marijuana by smoking; or

(iii) The use of hemp or hemp products; and

(54) "Visiting qualified patient" means a person who possesses a valid out-of-state registry identification card and documentation of having been diagnosed with a qualifying medical condition.

68-7-202. Department of health and commission.

(a) The department of health is charged with the implementation, operation, oversight, and regulation of the medical cannabis program established in this part.

(b) The medical cannabis commission shall review and recommend to the department protocols for determining:

(1) The amount of medical cannabis or delta-9 tetrahydrocannabinol that constitutes a daily supply, an uninterrupted ten-day supply, and an uninterrupted thirty-day supply of medical cannabis for registered qualified patients and visiting qualified patients;

(2) Review and recommend to the department protocols, evolving continuous quality improvement metrics, and minimal performance standards for the biennial accreditation process of licensed cannabis businesses;

(3) Review relevant peer-reviewed, scientific data related to the delta-9 tetrahydrocannabinol dosage, toxicology, and tolerance, and make recommendations to the general assembly regarding revisions to current law;

(4) Review relevant peer-reviewed, scientific data related to the various methods of use and consumption of medical cannabis and make recommendations to the general assembly to approve or restrict certain methods as the board deems appropriate;

(5) Review relevant peer-reviewed, scientific data related to the use of medical cannabis for medical, therapeutic, or palliative purposes and make recommendations to the general assembly to add or remove conditions from the list of qualifying medical conditions; and

(6) Perform other duties related to the use of medical cannabis upon request by the executive director of the commission.

(c) By December 1 of each year, the commission, in consultation with the department, shall submit an annual report to the general assembly. The report submitted by the commission must, at a minimum, include:

(1) The number of applications and renewals received by the department for patients, individually and collectively;

(2) The number of applications and renewals for patients;

(3) The number of patients revoked by the department for misconduct and the nature of the misconduct;

(4) The number of medical cannabis physicians authorized to provide prescriptions;

(5) The nature of the medical conditions for which medical cannabis physicians have provided written prescriptions;

(6) The number of applications and renewals received by the department for cannabis business licenses, the number of cannabis business licenses issued for each business type and tier, and the number of cannabis business license applications and renewals that were denied by the department;

(7) The number of cannabis business agents employed by each type of cannabis business;

(8) An assessment of:

(A) The ability of patients in all areas of the state to obtain timely affordable access to medical cannabis;

(B) The evolving continuous quality improvement metrics and minimal performance standards for the biennial accreditation process of licensed cannabis businesses;

(C) The effectiveness of the cultivators, processors, and testing laboratories licensed under this part, individually and collectively, in serving the needs of processors, dispensaries, and patients, the reasonableness of fees, whether cultivators, processors, and testing laboratories are generating complaints or security problems, and the sufficiency of the number operating to serve processors, dispensaries, and patients in this state;

(D) The effectiveness of the dispensaries licensed under this part, individually and collectively, in serving the needs of patients, including the provision of educational and support services, the reasonableness of fees, whether dispensaries are generating complaints or security problems, and the sufficiency of the number operating to serve patients in this state; and

(E) The effectiveness of the licensed safety compliance facilities licensed under this part, individually and collectively, in serving the needs of other cannabis businesses, including the provision of testing and training services, the reasonableness of fees, whether the facilities are generating complaints or security problems, and the sufficiency of the number operating to serve other cannabis businesses and patients in this state;

(9) The amount of medical cannabis products sold per month in this state;

(10) The total amount of revenue for each calendar year and aggregated by prior years generated from any cannabis business licensure and patients' application and renewal fees established by the department;

(11) The total cost of enforcement for the medical cannabis program at the time of the report, by city, county, and overall;

(12) The sufficiency of the regulatory and security safeguards contained in this part and adopted by the department through administrative regulations to ensure that access to and use of medical cannabis cultivated and processed in this state is provided only to patients;

(13) Any recommended additions or revisions to this part or administrative regulations promulgated thereunder, including those relating to security, safe handling, labeling, and nomenclature;

(14) The results of any scientific research studies regarding the health effects of cannabis; and

(15) Any other data requested by the general assembly relating to the medical cannabis program and this part.

(d) The information contained in the annual report described in subsection (c) must be presented in a manner that complies with the federal Health Insurance

Portability and Accountability Act, Pub. L. No. 104-191, and does not disclose any identifying information about patients or licensed cannabis businesses.

68-7-203. Protections.

(a) A qualified patient or designated caregiver in actual possession of a qualified patient or designated caregiver identification card is not subject to arrest, prosecution, or penalty in any manner or denied any right or privilege, including, without limitation, a civil penalty or disciplinary action by a business, occupational, or professional licensing board, or bureau, for the medical use of cannabis in accordance with this part if the qualified patient or designated caregiver possesses an amount less than or equal to the patient's thirty-day supply.

(b)

(1) A qualified patient or designated caregiver is presumed to be lawfully engaged in the medical use of cannabis in accordance with this part if the qualified patient or designated caregiver is in actual possession of an acceptable form of medical cannabis that does not exceed the amount allowed under this part.

(2) The presumption established in subdivision (b)(1) may be rebutted by evidence the medical cannabis exceeded the allowable amount.

(3) A person is not permitted to possess medical cannabis that is not in an acceptable form.

(c) A school or landlord shall not refuse to enroll, refuse to lease to, or otherwise penalize an individual solely for the individual's status as a qualified patient or designated caregiver unless doing so would put the school or landlord in violation of federal law or regulations.

(d) For the purposes of medical care, a qualified patient's authorized use of medical cannabis in accordance with this amendment is considered the equivalent of the

authorized use of any other medication used at the direction of a physician and does not constitute the use of an illicit substance.

(e)

(1) An employer shall not discriminate against an applicant or employee in hiring, termination, or any term or condition of employment, or otherwise penalize an applicant or employee, based upon the applicant's or employee's past or present status as a qualified patient.

(2) There is no cause of action against an employer based upon, and an employer is not prohibited from, any of the following actions:

(A) Establishing and implementing a substance abuse or drug-free workplace policy that may include a drug testing program that complies with state or federal law and taking action with respect to an applicant or employee under the policy;

(B) Acting on the employer's good faith belief that a qualified patient:

(i) Possessed, ingested, or otherwise engaged in the use of medical cannabis while on the premises of the employer or during the hours of employment; or

(ii) Was under the influence of medical cannabis while on the premises of the employer or during the hours of employment; provided, that a positive test result for marijuana or THC cannot provide the sole basis for the employer's good faith belief.

(3) Safety sensitive occupations are excluded from the protections in this subsection (e).

(4) For reasons other than an applicant's or employee's past or present status as a qualified patient or designated caregiver, the authorized or protected actions of an employer under this subsection (e) include, without limitation:

- (A) Implementing, monitoring, or taking measures to assess, supervise, or control the job performance of an employee;
- (B) Reassigning an employee to a different position or job duties;
- (C) Placing an employee on paid or unpaid leave;
- (D) Suspending or terminating an employee;
- (E) Requiring an employee to successfully complete a substance abuse program before returning to work;
- (F) Refusing to hire an applicant for reasons other than being a qualified patient; or
- (G) Any combination of the actions listed in this subdivision (e)(4).

(5)

(A) Damages established for an employment discrimination claim based on an applicant's or employee's past or present status as a qualified patient or designated caregiver in violation of this part are limited to the damages available for an employment discrimination claim under state law.

(B) Liability for back pay does not accrue from a date more than two (2) years prior to the filing of an action.

(C) Damages under this subdivision (e)(5) must not duplicate or increase an award for damages over the statutory limit allowed by state or federal law existing on January 1, 2027, whichever is lower.

(6) An action based on employment discrimination in violation of this subsection (e) must be brought within one (1) year of the occurrence of the alleged discrimination.

(7) An individual employee, agent of the employer, or employee of the agent of the employer is not liable for any violation of this subsection (e) that the employer is found to have committed.

(f) This section does not waive the sovereign immunity of this state.

(g) A court shall not deny custody, visitation, or parenting time to a person who is otherwise entitled to custody of, or visitation or parenting time with, a minor based solely on conduct allowed under this part, nor shall a court:

(1) Find abuse solely for conduct allowed under this part; or

(2) Presume neglect or child endangerment for conduct permitted under this part.

(h)

(1) An acceptable form of medical cannabis under possession limits, medical cannabis paraphernalia, licit property, or interest in licit property, that is possessed, owned, or used exclusively in connection with the medical use of cannabis as allowed under this part, or property incidental to such use, shall not be seized or forfeited.

(2) Forms not acceptable or amounts in excess of possession limits may be seized and forfeited.

(3) Medical cannabis not contained in the manufacturer's original packaging and labeling may be seized and forfeited.

(i) A person is not subject to arrest, prosecution, or penalty in any manner and shall not be denied any right or privilege, including, without limitation, a civil penalty or disciplinary action by a business, occupational, or professional licensing board or bureau, simply for being in the presence or vicinity of the medical use of cannabis as allowed under this part or for directly assisting a qualified patient with the medical use of cannabis.

(j)

(1) A physician is not subject to arrest, prosecution, or penalty in any manner and shall not be denied any right or privilege, including, without limitation, a civil penalty or disciplinary action by the board of medical examiners

or the board of osteopathic examiners or by any other business, occupational, or professional licensing board or bureau, solely for providing a prescription for medical cannabis.

(2) This subsection (j) does not prevent the board of medical examiners or the board of osteopathic examiners from sanctioning a physician for failing to properly evaluate a patient's medical condition or for otherwise violating the applicable physician-patient standard of care or the corresponding practice acts under title 63.

(3) This section does not require a physician to issue a prescription for medical cannabis.

(k) School personnel may possess medical cannabis under title 49, chapter 50, part 16, when obtained for medical use pursuant to this section by a student who is a qualified patient.

(l) This section does not prohibit the medical use of cannabis or a designated caregiver assisting with the medical use of cannabis in a nursing home facility, hospital, hospice facility, or an assisted living facility, if the medical use of cannabis is permitted under federal law.

(m)

(1) This part does not apply to hemp or hemp products.

(2) Notwithstanding another law to the contrary, and except as provided in this subsection (m):

(A) The use of medical cannabis by a patient is lawful if done in accordance with this part and any administrative regulations promulgated thereunder;

(B) The acquisition, blending, cultivation, delivery, distribution, manufacturing, manipulation, packaging for sale, preparation, possession, sale, testing, transportation, or transfer of medical cannabis or medical

cannabis accessories by a cannabis business or cannabis business agent is lawful if done in accordance with this part and any administrative regulations promulgated thereunder;

(C) A registered qualified patient or visiting qualified patient shall not be considered to be under the influence of medical cannabis solely because of the presence of tetrahydrocannabinol metabolites, including, but not limited to, the cannabinoid carboxy THC, which is also known as THC-COOH;

(D) This subsection (m) does not apply to a person in a safety sensitive occupation as designated by federal law or regulation, including positions subject to United States department of transportation drug testing requirements under 49 CFR Part 40;

(E) The determination of whether a position is safety sensitive must be based on the essential functions of the position and the actual duties performed, not merely the job title;

(F) A medical cannabis physician is not subject, under the laws of this state, to arrest, prosecution, or penalty in any manner, and shall not be denied any right or privilege, including, but not limited to, a civil penalty or disciplinary action by a state licensing board or by any other occupational or professional licensing board, solely for providing prescriptions or for otherwise stating that, in the medical cannabis physician's professional opinion, a patient may receive medical, therapeutic, or palliative benefit from the use of medical cannabis, if done in accordance with this part;

(G) An attorney is not subject, under the laws of this state, to arrest, prosecution, or penalty in any manner, and shall not be denied any right or privilege, including, but not limited to, a civil penalty or disciplinary

action by the board of professional responsibility and the supreme court, solely for providing an individual or cannabis business with legal assistance related to activity that is no longer subject to criminal penalties under state law pursuant to this part; and

(H) A person is not subject, under the laws of this state, to arrest, prosecution, or penalty in any manner, and shall not be denied any right or privilege, including, but not limited to, a civil penalty or disciplinary action by an occupational or professional licensing board, solely for providing assistance or services, including, but not limited to, accounting services, financial services, security services, or business consulting services, to any individual or cannabis business related to activity that is no longer subject to criminal penalties under state law pursuant to this part.

(n) This section does not:

(1) Prohibit the arrest, prosecution, or imposition of any other penalty arising from, but not limited to, breach of contract, breach of fiduciary duty, negligence, or engaging in criminal activity that would constitute a felony or misdemeanor; or

(2) Prevent a medical cannabis physician from being subject to administrative penalties imposed by a licensing board for a violation of this part or an administrative regulation promulgated thereunder.

(o) Notwithstanding this section or another law to the contrary, a patient who is professionally licensed may be subject to intervention or disciplinary action by the patient's state licensing board if:

(1) There is probable cause to believe that the patient has become impaired by, or otherwise abused, medical cannabis; or

(2) The patient has a medically diagnosable disease that is characterized by chronic, habitual, or periodic use of medical cannabis resulting in interference with the patient's professional, social, or economic functions in the community or the loss of powers of self-control regarding the use of medical cannabis.

(p)

(1) All qualified physicians shall complete two (2) of the forty (40) hours of continuing medical education required for licensure related to medical cannabis prescribing before issuing such prescriptions. This continuing medical education must be approved according to the rules of the corresponding licensing board.

(2) A pharmacist employed by a licensed dispensary shall complete two (2) hours of continuing pharmacy education (CPE) related to medical cannabis dispensing before dispensing products following initial patient consultation and every two (2) years thereafter. The CPE must be approved by the accreditation council for pharmacy education. Failure to comply may result in disciplinary action by the board of pharmacy.

68-7-204. Patient monitoring via controlled substance database.

(a) The controlled substance database (CSD) established under title 53, chapter 10, part 3, is the sole patient monitoring system for medical cannabis. A separate patient registry shall not be created.

(b) A qualified physician shall write all prescriptions for medical cannabis that will be entered into the CSD in accordance with the Tennessee Prescription Safety Act of 2016, compiled in title 53, chapter 10, part 3.

(c)

(1) A physician shall specify authorized daily dosage based on a patient's condition, age, health status, and professional judgment.

(2) A patient may possess up to a thirty-day supply based on authorized daily dosage. A physician may authorize up to a ninety-day supply for patients in rural areas, with mobility limitations, or other documented circumstances.

(d) ICD diagnosis codes must be reported to the department.

(e)

(1) A dispensary must report all medical cannabis transactions to the CSD.

(2) Before dispensing, a dispensary agent shall:

(A) Verify active certification in CSD;

(B) Verify patient or caregiver identity via driver license or state identification card;

(C) Check dispensing history to ensure the patient's possession limit is not exceeded; and

(D) Refuse to dispense if the dispensary finds invalid certification, certification is expired or deactivated, or dispensing would exceed limits.

(3) A dispensary must maintain backup records for seven (7) years.

(f)

(1) Law enforcement may access the CSD to verify active certifications and possession limits, but shall not access specific medical conditions, ICD codes, or detailed medical history.

(2) The department of health personnel shall have full CSD access for compliance monitoring, investigations, audits, and reporting.

(3) All CSD medical cannabis data is confidential and exempt from public inspection. Unauthorized access or disclosure of CSD medical cannabis data is a Class A misdemeanor and may be punished by a fine of no more than five thousand dollars (\$5,000) per violation.

(g)

(1) The department must integrate medical cannabis monitoring into existing CSD infrastructure.

(2) CSD reporting compliance is a condition of licensure for physicians and dispensaries.

(3) The department must submit an annual report on the medical cannabis program to the general assembly by March 1 of each year, including the total number of patients, certifications issued, conditions by ICD code, dispensing data, violations, and recommendations.

68-7-205. Limitations.

(a) This part does not permit a person to:

(1) Undertake any task under the influence of medical cannabis when doing so would constitute negligence or professional malpractice; or

(2) Operate, navigate, or be in actual physical control of a motor vehicle, aircraft, motorized watercraft, or any other vehicle drawn by power other than muscle power while under the influence of medical cannabis. Impairment must be determined by evaluating the totality of the circumstances.

(b) This part does not require:

(1) A government medical assistance program or private health insurer to reimburse a person for costs associated with the medical use of cannabis unless federal law requires reimbursement;

(2) An employer to accommodate the ingestion of medical cannabis in a workplace or an employee working while under the influence of medical cannabis;

(3) An individual or establishment in lawful possession of property to allow a guest, client, customer, or other visitor to use medical cannabis on or in that property;

(4) An individual or establishment in lawful possession of property to admit a guest, client, customer, or other visitor who is impaired as a result of the person's medical use of cannabis; or

(5) A public school to permit a qualified patient who is a student to be present on school grounds, to attend a school event, or to participate in extracurricular activities in violation of the public school's student discipline policies when a school official has a good faith belief that the behavior of the qualified patient is impaired.

(c) This part does not exempt a person from prosecution for a criminal offense related to impairment or intoxication resulting from the medical use of cannabis or relieve a person from any requirement under law to submit to a breath, blood, urine, or other test to detect the presence of a controlled substance.

(d) This part does not limit the ability of an employer to establish, continue, or enforce a drug-free workplace program or policy.

(e) This part does not create a cause of action against an employer for wrongful discharge or discrimination.

68-7-206. Penalties.

(a) A qualified physician violates title 63, chapter 6 or 9, if the qualified physician issues a prescription for a patient without a reasonable belief that the patient is suffering from a qualified medical condition.

(b) A person who fraudulently represents that the person has a qualified medical condition to a qualified physician for the purpose of being issued a prescription commits a Class A misdemeanor.

(c) A qualified patient who possesses medical cannabis in an unauthorized form or in an amount beyond possession limits or not contained in the manufacturer's original packaging and labeling may be prosecuted under title 39, chapter 17, part 4.

(d) A physician who issues a prescription shall not have an employment interest or direct or indirect ownership of an equity interest, including direct ownership of stock or shares from a business engaged in the cultivation, processing, shipping, or distribution of cannabis for medical use. A physician must be referred to the proper license board for disciplinary action under the applicable practice act for issuing such prescription while in possession of employment interest or direct or indirect ownership of an equity interest.

68-7-207. Rulemaking authority.

(a) The department must promulgate rules and regulations necessary to implement and administer this part, including, but not limited to:

- (1) Detailed standards and requirements for buildout completion for each license type;
- (2) Inspection procedures, protocols, and checklists;
- (3) Pre-qualification inspection procedures and standards;
- (4) Merit-based scoring criteria and point allocations;
- (5) Lottery procedures for reallocation of forfeited licenses;
- (6) Fee schedules for inspections and re-inspections;
- (7) Forms and documentation requirements;
- (8) Timelines and procedures for appeals and administrative review;
- (9) Procedures for maintaining and updating the merit-based backup pool;
- (10) Standards for determining good cause for extensions;
- (11) Geographic zone definitions and limitations, if applicable; and
- (12) Any other matters necessary to effectuate the purposes of this part.

(b) Rules promulgated pursuant to this section shall be promulgated in accordance with the Tennessee Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

(c) The department shall promulgate initial rules necessary to implement this act within one hundred eighty (180) days of the effective date of this act.

68-7-208. Seizure and forfeiture.

(a)

(1) A lawful medical cannabis product, medical cannabis accessories, lawful property, or interest in lawful property that is possessed, owned, or used in connection with the use of medical cannabis or acts incidental to that use shall not be subject to seizure or forfeiture under this section.

(2) This part does not prevent the seizure or forfeiture of marijuana exceeding the maximum amounts permitted, or seizure or forfeiture if the basis for that action is unrelated to the use of medical cannabis in accordance with this part and any administrative regulation promulgated thereunder.

(b) Possession of medical cannabis products or a business license does not constitute probable cause or reasonable suspicion, and shall not be used to support the search of the person, property, or home of the person possessing medical cannabis products or a cannabis business license. The possession of medical cannabis products or a medical cannabis business license does not preclude the existence of probable cause or reasonable suspicion based on other grounds.

(c)

(1) There is a rebuttable presumption that a patient is engaged in the lawful use of medical cannabis if the patient:

(A) Possesses an amount of medical cannabis that does not exceed the amounts allowed under this part or administrative regulations promulgated by the department; and

(B) The medical cannabis is contained in original packaging.

(2) The presumption established by subdivision (c)(1) may be rebutted by a preponderance of evidence that conduct was unrelated to the use of medical cannabis or was otherwise in violation of this part.

68-7-209. Operating machinery or driving under the influence.

(a) This part does not authorize a person to engage in the following conduct or prevent the imposition of any civil, criminal, or other penalties, including criminal prosecution or disciplinary action by the department or an occupational or professional licensing board, for engaging in the following conduct:

(1) Operating, navigating, or being in actual physical control of a motor vehicle, aircraft, motorized watercraft, or any other vehicle drawn by power other than muscle power and that is or may be used to transport persons or property while under the influence of medical cannabis;

(2) Consuming medical cannabis while operating, navigating, or being in actual physical control of an aircraft, motor vehicle, vessel, or any other device known, or hereafter invented, that is powered by machinery and that is or may be used to transport persons or property;

(3) Undertaking any task under the influence of medical cannabis, when doing so would constitute negligence or professional malpractice;

(4) Possessing medical cannabis, or otherwise engaging in the use of medical cannabis:

(A) On the grounds of a preschool or primary or secondary school, except as permitted in accordance with policies enacted pursuant to § 68-7-203;

(B) In a correctional facility; or

(C) On property of the federal government;

(5) Using marijuana, if the person is not a registered qualified patient or visiting qualified patient;

(6) Using or consuming marijuana by smoking; or

(7) Cultivating marijuana unless that person is licensed by the department as a cannabis cultivator.

(b) A violation of subdivision (a)(1) is punished as a violation of § 55-10-401 or § 69-9-217.

(c)

(1) An individual who violates subsection (a) shall not be considered to be in possession of medical cannabis or engaged in the use of medical cannabis and shall not benefit from the legal protections afforded by this part.

(2) The odor or smell of uncombusted raw plant material is not evidence of use or consumption of cannabis by smoking.

(d) This part does not exempt a person from arrest, prosecution, or penalty for operating, navigating, or being in actual physical control of any motor vehicle, aircraft, or watercraft while under the influence of medical cannabis.

(e) The prohibitions and penalties set forth in § 55-10-401, § 69-9-217, and any other applicable statutes regarding operation of vehicles, aircraft, or watercraft while impaired or intoxicated shall apply to medical cannabis in the same manner as the prohibitions and penalties apply to alcohol and other intoxicating substances.

(f) The presence of THC metabolites alone, including inactive metabolites such as carboxy THC (THC-COOH), are not sufficient evidence of impairment for purposes of prosecution under § 55-10-401 or § 69-9-217 or related statutes.

68-7-210. Cannabis business licenses.

(a) A person shall not cultivate, process, produce, possess, test, transfer, transport, or sell medical cannabis or otherwise operate a cannabis business in this state without first obtaining a license under this section.

(b) The department must create separate licenses, licensure application fees, initial licensure fees, and licensure renewal fees allowing a person to operate a cannabis business, pursuant to this part, as a:

- (1) Tier I cannabis cultivator;
- (2) Tier II cannabis cultivator;
- (3) Tier III cannabis cultivator;
- (4) Cannabis dispensary;
- (5) Cannabis processor; or
- (6) Testing laboratory.

(c) Licensure application fees, initial licensing fees, and licensure renewal fees collected by the department pursuant to this section must be retained by the department for administrative purposes.

(d) Except as provided in subsection (b), a cannabis business is required to apply for and obtain from the department a separate license for each location the cannabis business intends to operate.

(e)

(1) A cannabis business license issued under this section is valid for one (1) year from the date of issuance. The department must notify each licensee ninety (90) days prior to the date the license expires to allow the licensee to begin the renewal process established by the department.

(2) The renewal of a cannabis business license is contingent upon successful achievement of minimal performance standards established by the department as part of the biennial accreditation process.

(f) The department must approve a license holder's sale of a license issued pursuant to this section if the purchaser and any new facilities meet the requirements of this part.

68-7-211. Initial and renewal applications.

(a)

(1) The department must accept the following types of applications for cannabis business licenses:

(A) Initial application; and

(B) Renewal application.

(2) By submitting an initial or renewal application to the department, an applicant consents to any investigation of the applicant's ability to meet the requirements of this part.

(3) An application for an initial license or renewal license is incomplete and must be rejected by the department unless:

(A) The payment of the applicable fee is submitted with the application; and

(B) All required information for each section of the application, including attachments and any supplemental information requested by the department, is submitted within the allowable time period.

(4) An application submitted under this section must contain the following statement acknowledged by the applicant: "A false statement made in this application is punishable as perjury, pursuant to § 39-16-702."

(b) An applicant for an initial cannabis business license shall pay the applicable application fee by credit card or automated clearing house (ACH) transfer at the time of application submission to the department. The initial application fee is nonrefundable. The initial license application fees are as follows:

(1) Tier I cultivator: \$3,000;

(2) Tier II cultivator: \$10,000;

(3) Tier III cultivator: \$20,000;

(4) Processor: \$5,000;

(5) Dispensary: \$5,000; and

(6) Testing laboratory: \$3,000.

(c)

(1) An initial license is valid for one (1) year from the date of issuance shown on the license. The department must publish notice of initial license application availability on the department website, including the time frame during which initial license applications will be accepted. The notice must also state the category and number of cannabis business licenses available for issuance at the close of the application period.

(2) An applicant shall only use the initial license application form prescribed by the department and made available through the website.

(3) An applicant shall submit an initial license application to the department in the manner prescribed by the application instructions.

(4) An applicant shall apply for a separate license for each location where the applicant intends to operate a cannabis business. During an initial license application availability period, an applicant shall only apply for a license in one (1) cannabis business license type being offered at that time: cultivator, processor, dispensary, or testing laboratory. An applicant may submit multiple applications for a license within one (1) cannabis business license type if the following criteria are met:

(A) Each application must contain a separate and distinct physical address where the applicant proposes to conduct cannabis business activities;

(B) Each application must contain documentation of sufficient capital in accordance with this section, and the applicant shall not use the same capital for more than one (1) application;

(C) For the three (3) cannabis cultivator tiers, an applicant shall only submit one (1) application per cultivation tier; and

(D) For dispensaries, an applicant shall only submit one (1) application per medical cannabis region, as shown on the map published on the website of the department.

(5) In the initial license application, the applicant shall submit:

(A) The legal name, business type, any trade or doing business as (DBA) name, mailing address, federal tax identification number, website, if any, email address, and phone number of the proposed cannabis business and confirmation that the entity is registered with the secretary of state in good standing and authorized to do business in this state;

(B) The type of cannabis business license requested;

(C) The business entity formation documents such as articles of incorporation, articles of organization, or bylaws;

(D) The proposed location of cannabis business activities, including the physical address of the proposed cannabis business and the global positioning system coordinates for any proposed cannabis business activities, and:

(i) Documentation such as a contingent agreement for property sale or lease or an existing deed or lease that shows the applicant has the authority to use the proposed location as a cannabis business for, at a minimum, the term of the license; and

(ii) A site plan for the proposed cannabis business;

(E) The name, address, date of birth, and curricula vitae or resume of each principal officer and board member of the proposed cannabis business;

(F) Disclosure of any individual or business entity with an ownership interest of at least ten percent (10%) equity or similar interest

in the proposed cannabis business and each identified individual or entity's ownership percentage;

(G) Disclosure of any parent company or parent individual that has an ownership interest in the proposed cannabis business and each identified individual or entity's ownership percentage;

(H) A document showing the ownership organizational structure of the proposed cannabis business;

(I) The name and address of any individual or entity providing financial support to the proposed cannabis business that is not involved in the day-to-day operations beyond providing financial resources;

(J) The name and address of any physician or advanced practice registered nurse who has an ownership or investment interest in or compensation agreement with the proposed cannabis business;

(K) Disclosure of whether any principal officer or board member of the applicant has been convicted of a felony criminal offense, and if so, a description of each felony offense;

(L) Proof that any owner with equity is a resident of this state by utilizing a photo of state identification;

(M) Disclosure of any instances in which a business or not-for-profit entity that any of the applicant's board members managed or served on the board of was convicted, fined, censured, or had a registration or license suspended or revoked in any administrative or judicial proceeding;

(N) The name and address of any pharmacist who has an ownership or investment interest in or compensation agreement with the proposed cannabis business;

(O) If applicable, documentation that the applicant is capable of successfully establishing and operating a cannabis business in this state, including:

(i) Demonstrated experience establishing and operating a for-profit or nonprofit organization or other business within this state or another jurisdiction, and the nature of the business conducted by the organization;

(ii) Any history relating to receipt of a similar license or other authorization in other jurisdictions, including provisional licenses, suspensions, revocations, or disciplinary actions to include civil monetary fines or warnings; and

(iii) Any history of response to suspensions, revocations, disciplinary actions, civil monetary fines, or warnings imposed relating to any similar license or other authorization in another jurisdiction, and the plans of correction or other responses made to those actions;

(P) A description of the duties, responsibilities, and roles of each principal officer, board member, employee, and any other individual or entity with a financial interest in the proposed cannabis business that are not involved in the day-to-day operations of the business;

(Q) A timeline showing the steps and estimated amount of time the applicant will take to begin cannabis business activities in the state;

(R) A financial plan for the proposed cannabis business, including budget and cash flow planning and debt management;

(S) Documentation of sufficient capital available to the applicant, either on deposit or through extension of credit from one (1) or more financial institutions, in the following amounts as applicable:

- (i) Tier I cultivator: \$10,000;
- (ii) Tier II cultivator: \$200,000;
- (iii) Tier III cultivator: \$500,000;
- (iv) Processor: \$150,000;
- (v) Dispensary: \$150,000; or
- (vi) Testing Laboratory: \$150,000;

(T) A summary of the intended plan of operation that describes, at a minimum, how the applicant's proposed cannabis business operations will address:

- (i) Security;
- (ii) Employee qualifications, supervision, and training;
- (iii) Transportation of medical cannabis;
- (iv) Storage and labeling of medical cannabis;
- (v) Inventory management;
- (vi) Recordkeeping;
- (vii) Preventing unlawful diversion of medical cannabis;

and

- (viii) Workforce development and job creation;

(U) The name, mailing address, business title, phone number, and email address of the primary contact for the application as well as the name, address, and email address of any entity or individual who assisted the applicant with preparing the application;

(V) Documentation of any management service agreement in place for the proposed cannabis business;

(W) A notarized signature page signed by the applicant; and

(X) An attestation that:

(i) The site of the proposed cannabis business is not within one thousand feet (1,000') of an existing elementary or secondary school or a daycare center. For purposes of this subdivision (c)(5)(X)(i), the distance must be measured in a straight line from the nearest property line of an existing elementary school, secondary school, or daycare center to the nearest property line of the applicant's proposed place of business. Licensed pharmacies are exempt from this subdivision (c)(5)(X)(i);

(ii) The applicant can continuously maintain sufficient capital for operations of its proposed cannabis business for, at a minimum, the term of the initial license;

(iii) The applicant can continuously maintain effective security, surveillance, and accounting control measures to prevent diversion, abuse, and other illegal conduct regarding medical cannabis;

(iv) The applicant consents to the department verifying information provided in the application with any relevant governmental agency or third party;

(v) If issued a license, the applicant will pay the applicable license fee within fifteen (15) calendar days of notification in a manner prescribed by the department;

(vi) If issued a license, the applicant will conduct a criminal background check into the criminal history of each person seeking to be a principal officer, board member, agent, volunteer, or employee of the cannabis business before that person begins work and shall not employ, take on as a volunteer, or have as a

board member, principal officer, or agent any person who was convicted of a disqualifying felony offense or is younger than twenty-one (21) years of age;

(vii) The applicant consents to reasonable inspections, examinations, searches, and seizures as provided in § 68-7-214;

(viii) The applicant will obtain and maintain workers' compensation insurance for all employees in this state and pay all required employer contributions for unemployment insurance;

(ix) The applicant will obtain and maintain commercial general liability insurance for one million dollars (\$1,000,000) per occurrence and two million dollars (\$2,000,000) per aggregate and commercial automobile insurance for any vehicle used to transport medical cannabis or medical cannabis products;

(x) The applicant will complete all trainings required by the department for the proposed cannabis business's principals, agents, employees, and volunteers;

(xi) The applicant will establish any standard operating procedures required prior to the first date of cannabis business activities in this state, including those specific to the cannabis business category. The standard operating procedures that apply to cannabis businesses include:

(a) Security;

(b) Recordkeeping;

(c) Employee qualifications, supervision, and training;

(d) Quality assurance;

(e) Adverse event reporting and recall;

(f) Waste disposal and sanitation;

(g) Transportation of medical cannabis;

(h) Inventory management, including storage and labeling of medical cannabis;

(i) Cash management and anti-fraud procedures;

and

(j) Preventing unlawful diversion of medical cannabis;

(xii) For an applicant seeking a testing facility license, one (1) or more of its prospective principal officers or board members must not be a principal officer or board member of a cultivator, processor, or dispensary applying to operate in this state;

(xiii) For an applicant seeking a cultivator, processor, or dispensary license, one (1) or more of its prospective principal officers or board members must not be a principal officer or board member of a testing facility applying to operate in this state;

(xiv) The applicant will use this state's designated electronic monitoring system established pursuant to § 68-7-229 and seed-to-sale tracking system in the manner prescribed by the department;

(xv) The applicant has disclosed all individuals and entities with an ownership interest of at least ten (10) percent equity or similar interest in the proposed cannabis business as well as any parent companies and parent company individuals with an ownership interest in its proposed cannabis business; and

(xvi) The applicant swears or affirms that all information and documentation provided with the initial license application is true and correct.

(6) An initial license application received after the submission time frame stated in the published notice of initial license application availability must be rejected by the department without further consideration along with the return of the initial application fee.

(7) The department must acknowledge receipt of an initial application for a cannabis business license within fifteen (15) calendar days of submission by the applicant. The department must review each application to determine whether the application is complete. The department must provide written notice to an applicant upon determining that the application is complete. If the department determines an application is not complete, then the department must provide written notice to the applicant of the identified deficiencies in the application. The applicant has ten (10) calendar days from the date of the deficiency notification to cure the identified deficiencies and provide any missing information or documentation to the department in the manner prescribed by the department. If the applicant fails to cure any deficiency within ten (10) calendar days from the date of the deficiency notification, then the department must reject the application as incomplete.

(8) The department must provide notification to applicants as to whether an application for a license has been approved or denied within forty-five (45) calendar days of receiving an application and determining the application is complete. An application denial must include written notice that the applicant may file a written request for an administrative hearing on the denial of the application within thirty (30) calendar days after the mailing date of the notice. An applicant must use the hearing request form prescribed by the department

and made available through the website for the department. An applicant must submit the hearing request form to the department in the manner prescribed by the form's instructions.

(d) An applicant for renewal of a cannabis business license shall pay the applicable annual renewal fee by credit card or ACH transfer at the time of application submission to the department. The annual renewal fee shall be refundable if the renewal application is denied. The annual renewal fees are as follows:

- (1) Tier I cultivator: \$5,000;
- (2) Tier II cultivator: \$25,000;
- (3) Tier III cultivator: \$50,000;
- (4) Processor: \$25,000;
- (5) Dispensary: \$30,000; and
- (6) Testing laboratory: \$12,000.

(e)

(1) A renewal license is valid for one (1) year from the date of issuance shown on the license. The requirements that a licensed cannabis business must meet to receive an initial license are continuing requirements to maintain the license. A cannabis business must continuously comply with the licensing requirements of this part and rules promulgated by the department during the initial licensure period and any subsequent renewal period.

(2) The department must notify each licensee at least ninety (90) calendar days prior to the date the license expires to allow the licensee to begin the renewal process if the licensee so chooses.

(3) A licensee must only use the license renewal application form prescribed by the department and made available through the department's website.

(4) A license renewal application must be submitted to the department at least sixty (60) calendar days prior to the expiration of the license. The department must reject a license renewal application if the application is not submitted at least sixty (60) calendar days prior to the expiration of the license and must return the annual renewal fee to the licensee along with written notice of the rejection.

(5) A licensee must submit a license renewal application to the department in the manner prescribed by the application instructions.

(6) A licensee must include the following information with a license renewal application:

(A) Information regarding any charge, or any initiated, pending, or concluded investigation or proceeding, during the period of the initial license or prior renewal period, by any governmental or administrative agency, including an investigation or proceeding involving theft, loss, or possible diversion of medical cannabis by the licensee or from the licensee's facility;

(B) Information regarding the licensee's ability to continue with licensed activities, including any staffing issues, delays, medical cannabis shortages, medical cannabis product recalls, location issues, and financial issues that have occurred since the license was issued;

(C) The licensee's history of compliance with this part, including a summary of any noncompliance and corrective action taken during the current and any previous licensing period or a statement indicating that the licensee has not violated this part as of the date the renewal application is submitted; and

(D) Any additional information required by the department.

(7) The department must acknowledge receipt of a renewal license application within fifteen (15) calendar days of submission by the applicant. The department must review each application to determine whether the application is complete. If the department determines an application is not complete, then the department must provide written notice to the applicant of the identified deficiencies in the application. The applicant has ten (10) calendar days from the date of the deficiency notification to cure the identified deficiencies and provide any missing information or documentation to the department in the manner prescribed by the department. If the applicant fails to cure any deficiency within ten (10) calendar days from the date of the deficiency notification, the department must reject the application as incomplete.

(8) If the department determines that a license renewal application is lacking sufficient information upon which to make a renewal determination, then the department must notify the licensee in writing of the factors that require additional information and documentation. The licensee has ten (10) calendar days from the date of the notice to provide the requested information and documentation to the department. A licensee's failure to provide the requested information to the department by the deadline is grounds for denial of the license renewal application.

(9) The department may conduct an onsite inspection of the licensee's facilities and records to assist with determining continuing compliance with this part.

(10) An existing cannabis business license is immediately invalid upon expiration if the licensee has not filed a license renewal application and paid the required renewal fee. If a licensee properly submits a timely renewal application with the applicable renewal fee, then the department may extend the applicant's

existing license from the date the existing license expires until the department can complete its renewal application review and issue a determination.

(f)

(1) The renewal of a cannabis business license is contingent upon successful achievement of minimal performance standards established by the department. The minimum performance standards for licensees participating in the medical cannabis program are that:

- (A) The licensee has, and is likely to continue to maintain, effective controls against diversion of medical cannabis at its facility;
- (B) The licensee has not made false or misleading statements in:
 - (i) A renewal application or any other application submitted to the department;
 - (ii) Any document or written communication submitted to the department; or
 - (iii) Any verbal communication to the department;
- (C) The licensee has a documented history of compliance with the licensee requirements in this part;
- (D) The licensee has effectively addressed any identified compliance issues through corrective action;
- (E) The licensee has shown the ability to continue to comply with all state and local laws and administrative regulations applicable to the activities in which the licensee may engage under the license, if renewed;
- (F) The licensee has a documented history of successfully addressing and mitigating any quality or safety issues with medical cannabis or medical cannabis products;
- (G) The licensee timely completes all reporting required by this part; and

(H) The licensee participates in surveys distributed by the department and provides full, complete, and timely responses.

(2) The department must deny a renewal application for a cannabis business license if the department determines the licensee has failed to:

(A) Meet one (1) or more of the minimum performance standards established in this section; or

(B) Any additional basis established in this part.

(3) The department must provide written notification to a licensee as to whether the licensee's renewal application has been approved or denied within forty-five (45) calendar days of receiving an application and determining the application is complete. Any renewal application denial must be done in accordance with this section, including providing written notice that the applicant may file a written request for an administrative hearing on the denial of the application within thirty (30) calendar days after the mailing date of the notice. An applicant must use the hearing request form prescribed by the department and made available through the department's website. An applicant must submit the hearing request form to the department in the manner prescribed by the form's instructions. Any hearing resulting from the applicant's written request must be conducted in accordance with this part.

(4) During the application process, an applicant for an initial cannabis business license or renewal license shall, upon discovery of any change in facts or circumstances reflected in the initial application or renewal application submitted to the department, notify the department in writing of the change or any newly discovered fact or circumstance that would have been included in the application if known at the time the application was submitted. The notification required under this subdivision (f)(4) must be sent by electronic mail to the department within twenty-four (24) hours of discovery. Failure to timely notify the

department of a change or newly discovered facts or circumstances may result in denial of the application.

68-7-212. Uniform application form.

(a) The department must create a uniform application form for the cannabis business licenses established in § 68-7-210.

(b) When applying for a license, the applicant must submit the information required by § 68-7-211 in accordance with the department's administrative regulations.

(c) The department or commission shall create a lottery system to select the initial licenses for each geographic zone.

68-7-213. Initial license award process.

(a)

(1) The department shall contract with the Tennessee education lottery corporation, established under title 4, chapter 51, to conduct all lottery drawings for initial medical cannabis licenses.

(2) The Tennessee education lottery corporation shall provide:

- (A) Certified random number generation equipment and software;
- (B) Security protocols and fraud prevention measures;
- (C) Public drawing procedures with video documentation;
- (D) Verification and certification of results; and
- (E) Audit trails and post-drawing reports.

(3) The department must reimburse the Tennessee education lottery corporation for reasonable costs from license application fees collected pursuant to § 68-7-211.

(b)

(1) All initial medical cannabis licenses shall be awarded exclusively through random lottery selection conducted by the Tennessee education lottery corporation.

(2) Merit-based scoring, ranking, or subjective criteria must not be used.

All qualified applicants have equal probability of selection.

(3) The department does not have discretion to select, prefer, or favor any applicant. Selection must be determined solely by random chance.

(c)

(1) To enter the lottery, an applicant must:

(A) Submit a complete application during the designated application period;

(B) Pay all required application fees per § 68-7-211;

(C) Meet all mandatory minimum qualifications in § 68-7-211; and

(D) Receive written confirmation from the department that the application qualifies for lottery entry.

(2) The department must conduct pass/fail review of applicants only and shall not score or rank applications.

(3) Qualified applications must be assigned a unique lottery entry number.

(d)

(1) The department must announce the initial application period at least sixty (60) days in advance on the department's website.

(2) The application period shall:

(A) Open no earlier than one hundred eighty (180) days after federal rescheduling of cannabis;

(B) Remain open for ninety (90) consecutive days; and

(C) Close at the published deadline. Late applications must not be accepted.

(3) The department shall:

(A) Complete qualification review within forty-five (45) days after the application period closes;

(B) Provide a certified qualified applicant list to the Tennessee education lottery corporation within sixty (60) days after close of the application period; and

(C) Coordinate with the Tennessee education lottery corporation to conduct all drawings within thirty (30) days after close of the application period.

(e)

(1) An applicant may submit multiple applications subject to the following limitations:

(A) An applicant may submit one (1) application per license type per geographic zone, but may apply in all geographic zones;

(B) An applicant may apply for different license types in the same zone with separate facility addresses;

(C) An applicant may apply for one (1) cultivator tier per geographic zone, but may apply for different tiers in different geographic zones;

(D) Each application must show separate capital. The same funds must not support multiple applications; and

(E) Each application must identify a distinct address with separate site control documentation.

(2) Each qualified application constitutes a separate lottery entry with equal probability.

(3) Winners of multiple compatible licenses may accept and hold all licenses if permitted under this part and all fees are paid.

(f)

(1) The Tennessee education lottery corporation shall conduct number lottery drawings, to be determined by the department, including:

(A) Drawings per license type for cultivation, processor, dispensary, and testing laboratory licenses; and

(B) Drawings per geographic zone for each license type.

(2) Each drawing must randomly select winners to receive the licenses allocated to a particular zone.

(3) Each qualified applicant must receive a sequential lottery number.

The Tennessee education lottery corporation must randomly draw winning numbers using certified equipment. After primary winners, the Tennessee education lottery corporation must draw additional numbers to rank all remaining applicants as alternates.

(4) All drawings must be open to public attendance. A schedule of drawings must be published at least thirty (30) days in advance on the department's website and the Tennessee education lottery corporation's website. Drawings must be conducted at the Tennessee education lottery corporation headquarters or other designated public location. The Tennessee education lottery corporation must ensure that a complete video recording of the drawings is taken and retained for seven (7) years.

(5) Within five (5) business days of completing all drawings, the Tennessee education lottery corporation must certify results and provide the department with:

(A) Certified written reports for all drawings;

(B) Complete video recordings; and

(C) A comprehensive list of winners and alternates by license type and zone.

(g)

(1) Within five (5) business days of receiving certified results, the department must publish on its website:

- (A) The names and business entities of all winners and top three
- (3) alternates per license type and zone;
- (B) The city and county of proposed facility locations; and
- (C) Summary statistics, including applications received, qualified applicants, and unawarded licenses.

(2) Within five (5) business days of receiving certified results, the department must notify each winner via certified mail and email stating:

- (A) Selection as a lottery winner;
- (B) The specific license type and geographic zone;
- (C) A requirement to accept the license and pay fees within thirty
- (30) days;
- (D) The initial license fee amount and payment instructions;
- (E) The six-month buildout requirement per § 68-7-214; and
- (F) The department's contact information.

(h)

(1) A lottery winner must accept the license and pay all fees within thirty (30) days of notification.

(2) In order to accept the license, a lottery winner must:

- (A) Submit written acceptance on a form created by the department;
- (B) Pay the full initial license fee per § 68-7-211;
- (C) Confirm that the lottery winner's application information remains accurate;
- (D) Execute any additional required documents; and

(E) Provide proof of insurance or binding commitment from an insurer.

(3) If a lottery winner fails to accept the license within thirty (30) days of notification, then the license is automatically forfeited. The forfeited license must be offered to the first alternate.

(4) Upon timely acceptance of a license and payment, the department must issue a license within ten (10) business days. The issuance of a license triggers the start of the six-month buildout timeline pursuant to § 68-7-214.

(i)

(1) An applicant that is rejected for failing minimum qualifications may request an administrative hearing within thirty (30) days under the Uniform Administrative Procedures Act, compiled in title 4, chapter 5. The scope of the appeal is limited to whether the department correctly applied qualification standards.

(2) The random selection is not subject to administrative appeal and shall not be challenged based on merit or qualifications.

(3) The lottery results may be challenged in Davidson County chancery court only for fraud, misconduct, or irregularities compromising randomness. The challenging party must file such an action within thirty (30) days of the lottery results announcement. In such an action, the plaintiff bears the burden of proving by clear and convincing evidence that the lottery results were invalid due to fraud, misconduct, or irregularities compromising randomness.

(j)

(1) Tennessee education lottery corporation and department personnel involved in application review or lottery conduct shall not have any financial interest in an applicant or licensee.

(2) A person shall not offer anything of value to influence qualification, lottery, or award process.

(3) A violation of this subsection (j) must result in disqualification, license revocation, and criminal referral, if appropriate.

(k)

(1) The names of applicants, qualified applicants, winners, alternates, facility locations, lottery schedules, results, videos, and summary statistics are public records.

(2) Financial details, business plans, security plans, social security numbers, dates of birth, home addresses, and background check reports are confidential and not subject to public inspection.

(3) The department must maintain a public webpage with real-time updates, winner names, license status, and lottery videos.

68-7-214. Mandatory inspection timeline.

(a) The department must conduct a mandatory facility inspection of each awarded licensee no later than six (6) months after the date the license was issued.

(b) The department must provide written notice to each awarded licensee no less than thirty (30) days prior to the scheduled inspection date, specifying:

(1) The date, time, and expected duration of the inspection;

(2) The specific requirements and standards that will be evaluated during the inspection;

(3) A comprehensive checklist of all buildout completion requirements;

(4) The consequences of failing to demonstrate buildout completion, including license forfeiture as provided in subsection (c); and

(5) The opportunity for the licensee to request one (1) postponement of the inspection for good cause shown, not to exceed thirty (30) additional days.

(c) The inspection must be conducted by qualified department personnel or authorized third-party inspectors designated by the department, and must include:

- (1) Physical examination of the entire licensed facility;
- (2) Review of all construction and renovation documentation;
- (3) Testing of security systems, surveillance equipment, and inventory tracking systems;
- (4) Verification of compliance with all applicable building codes, fire codes, and safety standards;
- (5) Review of all required permits, certificates of occupancy, and regulatory approvals;
- (6) Assessment of the licensee's readiness to commence medical cannabis operations; and
- (7) Documentation of any deficiencies or areas of non-compliance.

(d) Within fifteen (15) business days following the inspection, the department must issue a written inspection report to the licensee, which must:

- (1) Detail all findings of the inspection;
- (2) Identify any deficiencies or areas of non-compliance;
- (3) State whether the licensee has achieved buildout completion;
- (4) If buildout completion has not been achieved, specify the exact deficiencies that must be remedied; and
- (5) If applicable, provide notice of the right to cure any deficiencies.

68-7-215. Forfeiture for failure to complete buildout.

(a) If, at the time of the mandatory inspection conducted pursuant to § 68-7-214, the department determines that the awarded licensee has not achieved buildout completion, the department must issue a written notice of deficiency to the licensee.

(b)

(1) The licensee has thirty (30) calendar days from the date of the notice of deficiency to remedy all identified deficiencies and request a re-inspection.

(2) The licensee must submit a written request for re-inspection to the department, along with documentation demonstrating that all deficiencies have been remedied.

(3) The department must conduct the re-inspection within fifteen (15) business days of receiving the request.

(4) The re-inspection fee, if any, must be established by the department through rulemaking and shall not exceed the reasonable cost of conducting the re-inspection.

(5) If the licensee achieves buildout completion at the re-inspection, then the license shall remain in good standing.

(6) A licensee may request only one (1) re-inspection under this subsection (b).

(c) If the licensee fails to request a re-inspection within thirty (30) calendar days of the notice of deficiency, or if the licensee fails to demonstrate buildout completion at the re-inspection, then the license shall be automatically forfeited effective immediately upon:

(1) The expiration of the thirty-day cure period without a re-inspection request; or

(2) The department's written determination following re-inspection that buildout completion has not been achieved.

(d)

(1) The department's determination of forfeiture under this section is a final administrative action subject to judicial review pursuant to the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(2) A petition for judicial review must be filed within thirty (30) days of the department's final determination.

(3) Filing a petition for judicial review does not stay the forfeiture or prevent reallocation of the forfeited license, unless the reviewing court issues a specific order staying the forfeiture pending resolution of the review.

(e) Upon forfeiture of a license under this section, the forfeiting licensee is not entitled to any refund of application fees, license fees, or any other fees paid to the department in connection with the forfeited license.

(f)

(1) A person or entity that has forfeited a medical cannabis license pursuant to this section, and any principal, officer, director, manager, or owner holding ten percent (10%) or greater ownership interest in such forfeiting entity, is permanently prohibited from:

(A) Applying for, receiving, or holding a medical cannabis license under this part until such time as the general assembly enacts a program expansion;

(B) Serving as a principal, officer, director, manager, or owner of ten percent (10%) or greater ownership interest in an entity that applies for or holds a medical cannabis license under this part until such time as the general assembly enacts a program expansion; and

(C) Acting as a consultant, advisor, or providing management services to a medical cannabis licensee or license applicant under this part until such time as the general assembly enacts a program expansion.

(2) The prohibition set forth in subdivision (f)(1) applies regardless of whether the forfeiting entity or individual seeks to apply for the same license type or a different license type under this part.

(3) As used in this subsection (f), "program expansion" means only a legislative enactment that increases the total number of medical cannabis licenses authorized beyond the number initially authorized when the medical cannabis program was established, and does not include:

(A) The reallocation of forfeited licenses;

(B) The replacement of licenses that have been revoked for cause;

(C) The addition of new qualifying medical conditions; or

(D) Any administrative or regulatory changes that do not increase the total number of authorized licenses.

(g) The department must submit a written report to the medical marijuana commission no later than thirty (30) days following each inspection period, detailing:

(1) The total number of licenses awarded;

(2) The total number of licensees inspected;

(3) The number of licensees that achieved buildout completion;

(4) The number of licensees that received notices of deficiency;

(5) The number of licensees that successfully remedied deficiencies at re-inspection;

(6) The number of licenses forfeited under this section;

(7) The license types and geographic locations of all forfeited licenses;

and

(8) Any recommendations for legislative action or program improvements.

(h)

(1) Notwithstanding this section to the contrary, the department may grant an extension of time to achieve buildout completion, not to exceed ninety (90) additional days, upon a showing of good cause by the licensee.

(2) As used in this subsection (h), "good cause":

(A) Is limited to:

(i) Natural disasters, acts of God, or other events beyond the licensee's control that have directly prevented buildout completion;

(ii) Documented delays in obtaining building permits, certificates of occupancy, or other governmental approvals, where the licensee has demonstrated diligent and timely efforts to obtain such approvals;

(iii) Documented supply chain disruptions or labor shortages that have materially delayed construction, where the licensee has demonstrated reasonable efforts to mitigate such delays; or

(iv) Other extraordinary circumstances that the department determines, in its discretion, constitute good cause; and

(B) Does not include:

(i) Lack of financing or capital;

(ii) Business disputes among principals or owners;

(iii) Ordinary construction delays;

(iv) Failure to timely commence construction or buildout;

or

(v) Any circumstance that was reasonably foreseeable at the time the license was awarded.

(3) A licensee seeking a good cause extension must submit a written request to the department no later than fifteen (15) days prior to the scheduled inspection date, including:

(A) A detailed explanation of the circumstances constituting good cause;

(B) Supporting documentation substantiating the claim;

(C) A realistic timeline for achieving buildout completion; and

(D) A plan for completing the buildout within the requested extension period.

(4) The department must issue a written decision on any good cause extension request within ten (10) business days of receipt.

(5) A licensee may request only one (1) good cause extension under this subsection (h).

(6) If a good cause extension is granted, and the licensee subsequently fails to achieve buildout completion within the extended time period, the license shall be forfeited pursuant to subsection (c) without any additional right to cure.

68-7-216. Merit-based backup pool and reallocation of forfeited licenses.

(a)

(1) The department must establish a merit-based backup pool of qualified applicants eligible to receive medical cannabis licenses that are forfeited pursuant to this part.

(2) The merit-based backup pool must be established for each license type, including dispensary, grower, processor, or other license types established by the department, and for each geographic zone or region, if the department has established geographic limitations on licenses.

(3) The merit-based backup pool shall consist of applicants who meet the requirements in § 68-7-211.

(4) Applicants in the merit-based backup pool must maintain their qualifications and readiness throughout the duration of the pool. The department may remove an applicant from the pool if the applicant:

- (A) No longer meets the minimum qualifications for licensure;
- (B) Fails to maintain site control;
- (C) Fails to maintain adequate capitalization;
- (D) Fails to respond to department inquiries within specified time frames; or
- (E) Requests to be removed from the pool.

(b)

(1) The department must establish a pre-qualification inspection process for applicants seeking inclusion in the merit-based backup pool.

(2) The pre-qualification inspection shall occur after the initial lottery-based license selection but before any licenses are forfeited under § 68-7-215.

(3) The department must provide written notice to all qualified applicants who were not selected in the initial lottery, inviting them to participate in the pre-qualification inspection process.

(4) An applicant wishing to participate in the pre-qualification inspection process must:

- (A) Submit a written request to the department within sixty (60) days of receiving the invitation;
- (B) Pay a pre-qualification inspection fee, to be established by the department through rulemaking, not to exceed the reasonable cost of conducting the inspection;
- (C) Provide updated documentation of site control, capitalization, business plans, and operational readiness;
- (D) Make the proposed facility available for inspection by the department; and
- (E) Demonstrate that the proposed facility can achieve buildout completion within six (6) months of receiving a license.

(5) The pre-qualification inspection must evaluate the requirements in § 68-7-211.

(6) Within thirty (30) days of completing the pre-qualification inspection, the department must issue a written determination indicating whether the applicant has passed the pre-qualification inspection and is eligible for inclusion in the merit-based backup pool.

(7) Applicants who successfully pass the pre-qualification inspection must be placed in the merit-based backup pool for their respective license type and geographic zone.

(8) Applicants who do not pass the pre-qualification inspection may appeal the department's determination pursuant to the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(c)

(1) The department must establish a merit-based scoring system to rank applicants within the merit-based backup pool.

(2) The scoring system must award points based on the following criteria, with specific point values to be established by the department through rulemaking:

(A) Demonstrated financial capacity and access to capital
(maximum twenty (20) points);

(B) Experience of management team in cannabis, healthcare, agriculture, or related industries (maximum twenty (20) points);

(C) Strength and comprehensiveness of business plan and operational plan (maximum fifteen (15) points);

(D) Quality and suitability of proposed facility location and design
(maximum fifteen (15) points);

(E) Level of operational readiness and ability to commence operations quickly (maximum fifteen (15) points);

(F) Community support and local government endorsements (maximum five (5) points);

(G) Previously licensed by the department of agriculture to grow hemp (maximum five (5) points);

(H) Veterans' ownership or employment (maximum five (5) points); and

(I) Any other criteria established by the department through rulemaking, not to exceed a total of one hundred (100) points.

(3) The department must calculate each applicant's score based on information provided during the pre-qualification inspection process and must rank applicants within each license type and geographic zone from highest to lowest score.

(4) In the event of tied scores, the department must break the tie by lottery.

(5) The department must maintain a current ranking list for each merit-based backup pool and must make the rankings publicly available; provided, that specific applicant information that is confidential under state law shall not be disclosed.

(d)

(1) When a license is forfeited pursuant to this part, the department must reallocate the forfeited license to qualified applicants from the merit-based backup pool in accordance with this subsection (d).

(2) Within fifteen (15) business days of a license forfeiture becoming final, the department must identify all applicants in the relevant merit-based backup pool who are eligible to receive the forfeited license, taking into account:

- (A) The license type of the forfeited license;
- (B) The geographic zone or region of the forfeited license, if applicable;
- (C) Any ownership requirements applicable to the forfeited license; and
- (D) Current qualification status of backup pool applicants.

(e)

(1) From among the eligible applicants identified in subdivision (d)(2), the department must conduct a lottery to select the recipient of the forfeited license as follows:

- (A) Only applicants who scored in the top fifty percent (50%) of the merit-based backup pool for the relevant license type and geographic zone are eligible to participate in the lottery;
- (B) If fewer than ten (10) applicants scored in the top fifty percent (50%), then the top ten (10) scoring applicants are eligible to participate in the lottery, or all applicants if fewer than ten (10) exist in the pool;
- (C) The lottery must be conducted in a public meeting with notice provided at least fifteen (15) days in advance;
- (D) The lottery must use a transparent, verifiable random selection method;
- (E) The department shall partner with the Tennessee education lottery corporation as provided in § 68-7-218 to conduct lottery drawings and ensure fairness and transparency; and
- (F) The results of the lottery must be recorded and made publicly available.

(2) The department must notify the lottery-selected applicant in writing within five (5) business days of the lottery, informing the applicant that they have been selected to receive the forfeited license.

(3) The selected applicant has thirty (30) calendar days from the date of notification to:

- (A) Accept the license award in writing;
- (B) Pay any required license fees;
- (C) Provide updated documentation of site control, capitalization, and operational readiness;
- (D) Execute any required agreements or documents; and
- (E) Comply with any other requirements established by the department.

(4) If the selected applicant fails to accept the license and comply with all requirements within the thirty-day period, or if the applicant declines the license, then the license must be offered to the next applicant selected in a subsequent lottery conducted in accordance with subdivision (e)(1).

(5) Upon a selected applicant's acceptance of the forfeited license and compliance with all requirements, the department must issue the license to the selected applicant.

(6) A license reallocated under this subsection (e) is subject to the same mandatory inspection timeline and buildout requirements established in this part, with the inspection date being six (6) months from the date the reallocated license is issued.

(f)

(1) If the medical cannabis program or commission establishes geographic zones, regions, or limitations on the number of licenses per area, then the department must ensure that forfeited licenses are reallocated to

applicants whose proposed facilities are located in the same geographic zone or region as the forfeited license.

(2) If no qualified applicants exist in the merit-based backup pool for the specific geographic zone or region, then the department may:

(A) Expand the geographic eligibility to adjacent zones or regions;

(B) Conduct a new limited application period specifically for the forfeited license, with applications subject to the same pre-qualification inspection and merit-based evaluation process established in this section;
or

(C) Hold the license for reallocation when qualified applicants become available, for a period not to exceed one (1) year.

(g)

(1) The department must submit a written report to the speaker of the senate, the speaker of the house of representatives, and the chairs of the senate health committee and the committee of the house of representatives with jurisdiction over health no later than sixty (60) days following the reallocation of each forfeited license, detailing:

(A) The circumstances of the license forfeiture;

(B) The number of applicants in the relevant merit-based backup pool;

(C) The scoring and ranking of eligible applicants;

(D) The lottery selection process and results;

(E) The identity of the selected applicant;

(F) The timeline for reallocation; and

(G) Any challenges or issues encountered in the reallocation process.

68-7-217. Geographic zones.

(a) For purposes of medical cannabis license distribution under this part, the medical marijuana commission is tasked with creating geographic zones based on equal or close to equal population distribution across this state.

(b) The commission must establish geographic zones using county boundaries to ensure:

(1) Each zone contains approximately equal population based on the most recent United States census data;

(2) Counties within each zone are geographically contiguous;

(3) Reasonable geographic access to medical cannabis dispensaries, processors, and cultivators for qualified patients in all areas of the state;

(4) Fair and equitable distribution of medical cannabis licenses across urban, suburban, and rural populations; and

(5) Consideration of existing healthcare infrastructure and patient population density.

(c) The commission must establish the geographic zones no later than sixty (60) days following the effective date of this act and the final zone map must be published on the department of health website.

68-7-218. Licensing by zone.

(a)

(1) For purposes of medical cannabis license distribution under this part, the medical marijuana commission is tasked with creating the number of licenses for each geographic zone established.

(2) In determining the number of licenses to allocate to each geographic zone, the commission shall consider:

(A) Population of each geographic zone based on the most recent United States census data;

(B) Number of qualified patients and projected patient demand within each zone;

(C) Geographic size and accessibility challenges within each zone;

(D) Existing healthcare infrastructure and pharmacy distribution within each zone;

(E) Rural versus urban population distribution and access needs;

(F) Economic impact and workforce development opportunities;

(G) Public safety and regulatory oversight capacity; and

(H) Recommendations from the department of health and public input received during commission meetings.

(3) Notwithstanding another provision of this part, the department shall not issue, award, or authorize any medical cannabis license that would cause the number of licenses of a particular license type within a geographic zone to exceed the per-zone limit established in subdivision (d)(1).

(4) For purposes of determining which geographic zone a license is allocated to, the zone shall be determined by the county in which the licensed facility is physically located.

(5) A medical cannabis license shall not be transferred, sold, assigned, or relocated to a facility in a different geographic zone if such transfer would cause the receiving zone to exceed its per-zone license limit, unless a corresponding license in the receiving zone is simultaneously transferred to the sending zone or otherwise relinquished.

(b)

(1) The department must structure the medical cannabis license application process to ensure compliance with the geographic zone requirements and per-zone license limits established by the commission.

(2) Each applicant for a medical cannabis license must specify in the application:

(A) The license type being sought;

(B) The geographic zone in which the applicant proposes to locate the licensed facility;

(C) The specific county within the chosen geographic zone where the facility will be located;

(D) The exact street address or legal description of the proposed facility location, or documentation demonstrating site control; and

(E) Confirmation that the applicant understands that the license, if awarded, will be allocated to the specified geographic zone and may not be relocated to a different zone except as permitted in subsection (c).

(3) The department shall partner with the Tennessee education lottery corporation to conduct separate lottery drawings for each license type and geographic zone per § 68-7-213, as follows:

(A) Only applicants who designated a particular zone compete for licenses in that zone;

(B) No more than two (2) licenses of each type are awarded per zone;

(C) All zones receive license awards before any zone receives a second license of a particular type, to the extent qualified applicants exist for all zones; and

(D) The selection process is conducted in a transparent, verifiable manner with public notice.

(4) To be eligible for a license in any geographic zone, an applicant must:

(A) Meet all minimum qualifications established by the department for the applicable license type;

(B) Demonstrate site control in the designated geographic zone through ownership, lease, or binding purchase or lease agreement;

(C) Demonstrate financial capacity to establish and operate the proposed medical cannabis business;

(D) Pass all required background checks;

(E) Demonstrate compliance with all applicable local zoning ordinances and land use regulations in the county where the facility will be located;

(F) Obtain any required local approvals or non-objection statements, if required by local ordinance; and

(G) Meet any additional requirements established by the department through rulemaking.

(5) If fewer than two (2) qualified applicants apply for a particular license type in a particular geographic zone, the department shall:

(A) Award licenses to the qualified applicants in that zone;

(B) Not reallocate the unfilled license slots to another zone during the initial license award period;

(C) Retain the unfilled license slots for future awards in that zone if additional qualified applicants emerge; and

(D) Conduct a supplemental application period specifically for the unfilled zones, with reasonable notice to potential applicants, within one (1) year of the initial license awards.

(c)

(1) A licensee may relocate a licensed facility to a different location within the same geographic zone, subject to:

(A) Prior written approval from the department;

(B) Compliance with all applicable zoning, building code, and local regulatory requirements at the new location;

(C) Demonstration that the new location meets all facility requirements for the license type;

(D) Payment of any relocation processing fees established by the department; and

(E) Inspection and approval of the new facility by the department prior to commencing operations at the new location.

(2) Except as provided in subdivision (c)(3), a licensee shall not relocate a licensed facility to a location in a different geographic zone.

(3) A licensee may relocate a licensed facility to a different geographic zone only if:

(A) The receiving zone has fewer than two (2) licenses of the applicable license type;

(B) The relocation would not cause the receiving zone to exceed its per-zone license limit;

(C) The department determines that the relocation serves a compelling public interest, such as:

(i) Addressing a documented shortage of access to medical cannabis in the receiving zone;

(ii) Responding to changes in local ordinances or zoning that make continued operation in the current zone impractical or impossible;

(iii) Responding to natural disasters, condemnation, or other extraordinary circumstances beyond the licensee's control;
or

(iv) Other compelling circumstances approved by the department;

(D) The licensee meets all requirements for operating in the receiving zone;

(E) The department approves the zone change in writing; and

(F) The general assembly is notified of the zone change within thirty (30) days.

(4) When a license is relocated from one (1) zone to another pursuant to subdivision (c)(3), the sending zone's license count shall be reduced by one (1), and that zone is eligible to receive an additional license of that type in any future supplemental application periods or license expansions.

(d)

(1) The per-zone license limits established in subdivision (b)(3) may be increased only by an act of the general assembly.

(2) The general assembly may consider increasing per-zone license limits based on:

(A) Demonstrated patient demand exceeding available supply in one (1) or more zones;

(B) Documented access barriers or shortages in particular zones;

(C) Program performance data showing insufficient competition or pricing concerns;

(D) Recommendations from the commission; or

(E) Other compelling public interest considerations.

(3) The general assembly or commission may adjust the geographic zone boundaries established in subsection (c) if:

(A) Demographic, economic, or geographic changes warrant adjustment;

(B) Data shows significant disparities in patient access among zones that could be addressed through boundary adjustments;

(C) The adjustment maintains contiguous county groupings within each zone;

(D) The adjustment maintains a reasonable balance in the number of counties per zone; and

(E) The adjustment does not violate the rights of existing licensees or create unfair competitive advantages.

(4) If zone boundaries are adjusted pursuant to subdivision (d)(3), any existing licenses remain valid and must be counted toward the per-zone limit of the zone in which the facility is located after the boundary adjustment takes effect.

68-7-219. Requirements for licensed businesses.

(a) A cannabis business licensed under this part must:

(1) Comply with this part and any administrative regulations promulgated thereunder by the department;

(2) Conduct a criminal background check into the criminal history of each person seeking to become a principal officer, board member, agent, volunteer, or employee before that person begins work as follows:

(A) Each applicant shall submit to a federal bureau of investigation (FBI) fingerprint-based background check;

(B) An applicant is disqualified if the background check reveals any felony conviction for a drug offense within the ten (10) years preceding the application date;

(C) A cannabis business shall not employ, accept as a volunteer, or have as a board member, principal officer, or agent any person who:

(i) Was convicted of a disqualifying felony offense; or

- (ii) Is younger than twenty-one (21) years of age;
- (3) Implement appropriate security measures to deter and prevent the theft of medical cannabis and unauthorized entrance into areas containing medical cannabis;
- (4) Demonstrate sufficient capital to establish the business and meet the needs for the type of cannabis business licensed;
- (5) Display the issued license on the premises at all times; and
- (6) Only acquire, possess, cultivate, manufacture, deliver, transfer, transport, supply, or dispense medical cannabis:
 - (A) For the purposes of distributing medical cannabis to qualifying patients; and
 - (B) From a cannabis business licensed under this part.
- (b) A cannabis business licensed under this part shall not:
 - (1) Be located within one thousand feet (1,000') of an existing elementary or secondary school or a daycare center; except that licensed pharmacies are exempt from this restriction;
 - (2) Sell:
 - (A) Raw plant material;
 - (B) Any medical cannabis product with a delta-9 tetrahydrocannabinol content of more than ninety percent (90%);
 - (C) Any medical cannabis product that contains vitamin E acetate; or
 - (D) Any medical cannabis product that does not have a full panel test through a testing laboratory;
 - (3) Permit a person under eighteen (18) years of age to enter or remain on the premises of a cannabis business;

(4) Permit a person who is not a patient to enter or remain on the premises of a cannabis business, except in accordance this section;

(5) Employ, have as a board member, or be owned by, in part or in whole, a medical cannabis physician;

(6) Advertise medical cannabis sales in print, broadcast, online, by paid in-person solicitation of customers, or by any other advertising device, except that this subdivision (b)(6) does not prevent appropriate signs on the property of a licensed cannabis business, listings in business directories, including phone books, listings in trade or medical publications, or sponsorship of health or not-for-profit charity or advocacy events; or

(7) Use signage, symbols, or marketing materials that:

(A) Include cannabis leaf imagery, green crosses, or other symbols commonly associated with recreational cannabis use;

(B) Are designed in a manner that appeals to minors or creates a carnival-like atmosphere;

(C) Are visible from public rights-of-way in a manner that promotes or normalizes cannabis use beyond its medical purpose;

(D) Use neon, flashing, or animated displays; or

(E) Include language or imagery that suggests recreational use, intoxication, or non-medical benefits.

(c) The operating documents of a cannabis business must include procedures for its oversight and procedures to ensure accurate recordkeeping and inventory control.

(d) When transporting medical cannabis on behalf of a cannabis business that is permitted to transport it, a cannabis business agent shall have:

(1) A copy of the cannabis business license for the business that employs the agent;

(2) Documentation that specifies the amount of medical cannabis being transported and the date on which it is being transported; and

(3) The cannabis business license number and telephone number of any other cannabis business receiving or otherwise involved in the transportation of the medical cannabis.

(e) The cultivation of medical cannabis for cannabis businesses licensed in this state must only be done by cultivators licensed under this part and must only take place in an enclosed, locked facility that can only be accessed by cultivator agents working on behalf of the cultivator at the physical address or global positioning system coordinates provided to the department during the license application process.

(f) A person who is at least eighteen (18) years of age but not a patient may be allowed to enter and remain on the premises of a cannabis business if:

(1) The person is present at the cannabis business to perform contract work, including, but not limited to, electrical, plumbing, or security maintenance that does not involve handling medical cannabis; or

(2) The person is a government employee and is at the cannabis business in the course of the person's official duties.

68-7-220. Reasonable inspection by the department.

(a) A cannabis business is subject to reasonable inspection by the department pursuant to the department's procedures or administrative regulations. The department may inspect any licensed cannabis business premises without having to first obtain a search warrant.

(b) The department may, on its own motion or on complaint, after investigation and opportunity for a public hearing at which the cannabis business has been afforded an opportunity to appear and be heard, suspend or revoke a cannabis business license for multiple violations or a serious violation of this part or any administrative regulations

promulgated thereunder by the licensee or any of its agents. A suspension must not be for a period of time longer than six (6) months.

(c) The department must provide notice of suspension, revocation, fine, or other penalty, as well as the required notice of the hearing, by mailing, via certified mail, the same in writing to the cannabis business at the address on the license. The cannabis business may, within thirty (30) days after the date of the mailing of the department's notice, file a written request for an administrative hearing regarding the suspension, revocation, fine, or other penalty.

(d) Final orders of the department after administrative hearings are subject to judicial review. Jurisdiction and venue for judicial review are vested in the circuit court of the county in which the cannabis business is physically located.

(e) A cultivator may continue to cultivate and possess cannabis plants during a suspension, but shall not transfer or sell medical cannabis during a suspension.

(f) A dispensary may continue to possess its existing medical cannabis inventory during a suspension, but shall not acquire additional medical cannabis, or dispense, transfer, or sell medical cannabis during a suspension.

(g) A processor may continue to process and possess its existing medical cannabis inventory during a suspension, but shall not acquire additional medical cannabis, or dispense, transfer, or sell medical cannabis products during a suspension.

(h) A testing laboratory may continue to possess medical cannabis during a suspension, but shall not receive any new medical cannabis, test, or otherwise analyze medical cannabis, or transfer or transport medical cannabis during a suspension.

68-7-221. Cultivators; cultivator tiers and square foot limitations.

(a) A cultivator or cultivator agent acting on behalf of a cultivator shall not be subject to prosecution under state or local law, to search or inspection except by the department pursuant to § 68-7-220, or to seizure or penalty in any manner, or be denied any right or privilege, including, but not limited to, civil penalty or disciplinary action by a

court or business licensing board, for acting pursuant to this part and the department's administrative regulations for:

- (1) Acquiring, possessing, planting, cultivating, raising, harvesting, trimming, or storing cannabis seeds, seedlings, plants, or raw plant material;
- (2) Delivering, transporting, transferring, supplying, or selling raw plant material or related supplies to other licensed cannabis businesses in this state; or
- (3) Selling cannabis seeds or seedlings to similar entities that are licensed to cultivate cannabis in this state or in any other jurisdiction.

(b) Cultivators and cultivator agents acting on behalf of a cultivator shall:

- (1) Only deliver raw plant material to a licensed processor for fair market value;
- (2) Only deliver raw plant material to a processor after the raw plant material has been checked by a licensed testing laboratory agent for cannabinoid contents and contaminants in accordance with administrative regulations promulgated by the department;
- (3) Not supply a processor with more than the amount of raw plant material reasonably required by a processor; and
- (4) Not deliver, transfer, or sell raw plant material with a delta-9 tetrahydrocannabinol content of more than thirty-five percent (35%) to a licensed processor.

(c)

- (1) A Tier I cultivator shall not exceed an indoor growth area of two thousand five hundred (2,500) square feet.
- (2) A Tier II cultivator shall not exceed an indoor growth area of fifteen thousand (15,000) square feet.
- (3) A Tier III cultivator shall not exceed an indoor growth area of thirty thousand (30,000) square feet.

68-7-222. Dispensary and dispensary agent; civil liability.

(a) A dispensary or dispensary agent acting on behalf of a dispensary is not subject to prosecution under state or local law, to search or inspection except by the department pursuant to § 68-7-220, to seizure or penalty in any manner, or denial of any right or privilege, including, but not limited to, a civil penalty or disciplinary action by a court or business licensing board, for acting pursuant to this part and the department's administrative regulations for:

- (1) Acquiring or possessing medical cannabis from a processor in this state;
- (2) Acquiring or possessing medical cannabis accessories or educational material;
- (3) Supplying, selling, dispensing, distributing, or delivering medical cannabis, medical cannabis accessories, and educational material to qualified patients or other dispensaries;
- (4) Selling cannabis seeds to similar entities that are licensed to cultivate cannabis in this state or in any other jurisdiction;
- (5) Acquiring, accepting, or receiving medical cannabis products from a qualified patient, except that a dispensary may not offer anything of monetary value in return for medical cannabis received from a qualified patient. Any medical cannabis received by a dispensary under this subdivision (a)(5) must be destroyed by the dispensary or its agents and shall not be sold, dispensed, or distributed to another patient; or
- (6) Acquiring a pharmacist to employ or contract with the dispensary to provide qualified patient consultation.

(b) A dispensary or dispensary agent acting on behalf of a dispensary must:

- (1) Maintain records that include specific notations of the amount of medical cannabis being dispensed to a qualified patient and whether the medical

cannabis was dispensed directly to a registered qualified patient or visiting qualified patient, or to a registered qualified patient's designated caregiver. Each entry must include the date and time the medical cannabis was dispensed. The data required to be recorded by this subdivision (b)(1) must be entered into the electronic monitoring system established pursuant to § 68-7-229 in accordance with administrative regulations promulgated by the department for the recording of medical cannabis dispensing;

(2) Only dispense or sell medical cannabis after the medical cannabis has been checked by a testing laboratory agent for cannabinoid contents and contaminants in accordance with administrative regulations promulgated by the department;

(3) Only dispense or sell medical cannabis to a registered qualified patient or visiting qualified patient after determining:

(A) That the prescription or the out-of-state registry identification card presented to the dispensary is valid, including by checking the verification system, if it is operational, or other database designated by the department;

(B) That the person presenting the prescription or, for visiting qualified patients, the out-of-state registry identification card is at least eighteen (18) years of age and is the person identified on the prescription or registry identification card by examining at least one (1) other form of government-issued photo identification; and

(C) The amount of medical cannabis the person is legally permitted to purchase by checking the electronic monitoring system established pursuant to § 68-7-229;

(4) Not acquire, possess, dispense, sell, offer for sale, transfer, or transport:

(A) Raw plant material; or

(B) Any medical cannabis product that contains vitamin E acetate;

(5) Not acquire medical cannabis from any person other than a cannabis business licensed under this part, or an agent thereof, a registered qualified patient, or a designated caregiver;

(6) Not sell or dispense medical cannabis products intended for consumption by vaporizing to a patient who is younger than twenty-one (21) years of age or to a designated caregiver for a registered qualified patient who is younger than twenty-one (21) years of age;

(7) Not dispense or sell medical cannabis to a minor;

(8) Not dispense or sell more medical cannabis to a patient than the patient is legally permitted to purchase at the time of the transaction; and

(9) Not rent office space to a medical cannabis physician.

(c)

(1) A dispensary may operate a delivery service for patients and may deliver medical cannabis, medical cannabis accessories, and educational material to patients at the address identified with the patient.

(2) All delivery services operated or offered by a dispensary shall comply with administrative regulations promulgated by the department.

(d) If a dispensary or dispensary agent fails to comply with this section, the dispensary and dispensary agent are liable in a civil action for compensatory and punitive damages and reasonable attorney's fees to any person or the representative of the estate of any person who sustains injury, death, or loss to person or property as a result of the failure to comply with this section. In an action under this subsection (d), the court may also award any injunctive or equitable relief that the court considers appropriate.

68-7-223. Processors and processor agents; permissible actions.

(a) A processor or processor agent acting on behalf of a processor is not subject to prosecution under state or local law, to search or inspection except by the department pursuant to § 68-7-220, to seizure or penalty in any manner, or denial of any right or privilege, including, but not limited to, civil penalty or disciplinary action by a court or business licensing board, for acting pursuant to this part and the department's administrative regulations for:

- (1) Acquiring or purchasing raw plant material from a cultivator or processor in this state;
- (2) Possessing, processing, preparing, manufacturing, manipulating, blending, preparing, or packaging medical cannabis;
- (3) Transferring, transporting, supplying, or selling medical cannabis and related supplies to other cannabis businesses in this state; or
- (4) Selling cannabis seeds or seedlings to similar entities that are licensed to cultivate cannabis in this state or in any other jurisdiction.

(b) A processor licensed under this section shall not possess, process, produce, or manufacture:

- (1) Raw plant material with a delta-9 tetrahydrocannabinol content of more than thirty-five percent (35%);
- (2) Medical cannabis products intended for oral consumption as an edible, oil, or tincture with more than the allowed amount of cannabinoids; or
- (3) Any medical cannabis product that contains vitamin E acetate.

68-7-224. Pharmacist employment or contract requirement.

(a) Every medical cannabis dispensary licensed under this part must employ or contract with at least one (1) licensed pharmacist to serve as the dispensary pharmacist and to provide patient consultation services as required by this section.

(b) A dispensary may satisfy the requirement in subsection (a) through any of the following arrangements:

- (1) Direct employment of one (1) or more licensed pharmacists;
- (2) Independent contractor agreement with one (1) or more licensed pharmacists;
- (3) Contract with a pharmacy consulting firm or telehealth service that employs licensed pharmacists;
- (4) Contract with licensed pharmacists who provide consultation services via secure telehealth technology;
- (5) Shared pharmacist arrangements with other dispensaries to jointly employ or contract with one (1) or more licensed pharmacists; or
- (6) Other lawful arrangements approved by the department that ensure access to licensed pharmacist consultation services.

(c) Regardless of the arrangement used, the dispensary must ensure that:

- (1) Pharmacist consultation services are available during all hours that the dispensary is open for business;
- (2) The dispensary pharmacist has access to all information necessary to provide effective consultation; and
- (3) The arrangement complies with all applicable laws and regulations governing pharmacy practice and patient privacy.

(d) Each dispensary must designate one (1) licensed pharmacist as the pharmacist-in-charge who has primary responsibility for ensuring the dispensary's compliance with all pharmacist consultation requirements.

(e) The dispensary must notify the department in writing within ten (10) business days of:

- (1) Initially employing or contracting with a pharmacist-in-charge;
- (2) Any change in the pharmacist-in-charge; or
- (3) Loss of pharmacist affiliation.

(f) A dispensary shall not dispense medical cannabis products without having a current, valid employment or contractual relationship with at least one (1) licensed pharmacist.

(g) If a dispensary loses its pharmacist affiliation, then the dispensary must:

- (1) Immediately cease dispensing medical cannabis products;
- (2) Notify the department within three (3) business days;
- (3) Engage a replacement pharmacist within thirty (30) days; and
- (4) Resume operations only after the department verifies that a qualified replacement pharmacist has been engaged.

(h) The department must coordinate with the board of pharmacy in implementing this section, including consulting on pharmacist qualification standards, training requirements, and referring professional misconduct concerns for investigation and potential disciplinary action.

68-7-225. Mandatory patient consultation requirements.

(a) A dispensary must ensure that a dispensary pharmacist provides patient consultation in the following circumstances:

(1) Initial consultation: every qualified patient or designated caregiver obtaining medical cannabis products from a dispensary for the first time must receive an initial patient consultation from a dispensary pharmacist before products are dispensed;

(2) Significant change in therapy: when a qualified patient requests or is recommended a product that represents a significant change in the qualified patient's medical cannabis therapy;

(3) Qualified patient request: whenever a qualified patient or designated caregiver requests to speak with a pharmacist;

(4) Staff or pharmacist concern: when dispensary staff or a pharmacist identifies concerns about a qualified patient's product selection, potential drug interactions, reported adverse effects, or any other patient safety issue; and

(5) Other circumstances: any other circumstances determined by the department through rulemaking to require pharmacist consultation.

(b) The mandatory consultation requirements are not waivable by the patient, the dispensary, or the pharmacist.

(c) Patient consultation may be provided in person at the dispensary or via real-time telehealth using secure, HIPAA-compliant audio-video technology.

68-7-226. Testing laboratory and testing laboratory agent; permissible actions.

A testing laboratory or testing laboratory agent acting on behalf of a testing laboratory is not subject to prosecution, search except by the department pursuant to § 68-7-220, seizure, or penalty in any manner, or denial of any right or privilege, including, but not limited to, civil penalty or disciplinary action by a court or business licensing board, for acting in accordance with this part and the department's administrative regulations to provide the following services:

(1) Acquiring or possessing medical cannabis obtained from qualified patients or cannabis businesses in this state;

(2) Returning the medical cannabis to qualified patients or cannabis businesses in this state;

(3) Transporting medical cannabis that was produced by cannabis businesses in this state;

(4) The production or sale of approved educational materials related to the use of medical cannabis;

(5) The production, sale, or transportation of equipment or materials other than medical cannabis, including, but not limited to, lab equipment and packaging materials that are used by cannabis businesses under this part;

(6) Testing of medical cannabis produced in this state, including testing for cannabinoid content, solvents, pesticides, mold, contamination, vitamin E acetate, and other prohibited additives;

(7) Training patients and cannabis business agents. Training may include, but need not be limited to:

(A) The safe and efficient cultivation, harvesting, packaging, labeling, and distribution of medical cannabis;

(B) Security and inventory accountability procedures; and

(C) Up-to-date scientific and medical research findings related to the use of medical cannabis;

(8) Receiving compensation for actions allowed under this section; and

(9) Engaging in any noncannabis-related business activities that are not otherwise prohibited or restricted by state law.

68-7-227. Local government; ordinances regulating or prohibiting cannabis.

(a) As used in this section, "local government" means a municipality or county.

(b) A local government may:

(1) Enact ordinances not in conflict with this part or with the department's administrative regulations, regulating the time, place, and manner of cannabis business operations; except that a local government shall not enact ordinances that impose an undue burden or make cannabis business operations unreasonable or impractical;

(2) Prohibit all cannabis business operations within its territory through the passage of an ordinance; or

(3) Enact a resolution directing that the question of prohibiting cannabis businesses from operating within its territory be submitted to the voters of its territory at the next regular election pursuant to subsection (e).

(c) If a county prohibits all cannabis business operations, the legislative body of a municipality located within the county may:

(1) Approve cannabis business operations within the limits of the municipality through the passage of an ordinance; or

(2) Enact a resolution directing that the question of allowing cannabis businesses to operate within the limits of the municipality be submitted to the voters who are eligible to vote in that municipality's elections at the next regular election pursuant to subsection (e).

(d) If a local government legislative body with jurisdiction prohibits cannabis business operations through the passage of an ordinance, a public question that is initiated by petition and that proposes allowing a cannabis business to operate within the affected territory is authorized.

(e) A public question that is initiated by petition or by resolution and is authorized by this section shall be submitted to the voters within the affected territory at the next regular election by complying with the following requirements:

(1) For a public questions initiated by petition:

(A) Before a petition for submission of the proposal may be presented for signatures, an intent to circulate the petition, including a copy of the unsigned petition, must be filed with the county election commission of the affected territory by any person or group of persons seeking the submission of the public question. The statement of intent must include the addresses of the person or group of persons and must specify the person or group of persons, as well as the address, to whom all notices are to be sent. Within ten (10) days after the intent to circulate the petition is filed, the county election commission shall deliver a copy of the intent to circulate the petition, including a copy of the unsigned petition, to the legislative body of the affected territory;

(B) The petition must set out in full the following question: "Are you in favor of the sale of medical cannabis at a licensed dispensary and the operation of other cannabis businesses in (affected zone)?";

(C) The petition for the submission of the proposal must be signed by a number of constitutionally qualified voters of the territory to be affected equal to five percent (5%) of registered voters for the affected zone;

(D) Each signature must be executed in ink or indelible pencil and shall be followed by the legibly printed name of each voter, followed by the voter's residence address, year of birth, and the correct date upon which the voter's name was signed;

(E) A petition for the submission of the proposal must not be circulated for more than six (6) months prior to its filing;

(F) After a petition for the submission of the proposal has received the number of qualifying signatures required by subdivision (e)(1)(C), the signed petition must be filed with the county election commission. When the petition is filed, each sheet of the petition must have an affidavit executed by the circulator stating that the circulator personally circulated the sheet, the number of signatures thereon, that all signatures were affixed in the circulator's presence, that the circulator believes the signatures to be the genuine signatures of registered voters within the affected territory, and that each signer had an opportunity before signing to read the full text of the proposal;

(G) A signer of the petition shall not withdraw the signer's name or have the name taken from the petition after the petition has been filed. If the name of any person has been placed on the petition for submission of the public question without that person's authority, then the person

may, at any time prior to certification of sufficiency of the petition by the county election commission as required by subdivision (e)(1)(H), request the removal of the name by the county election commission and, upon proof that the person's name was placed on the petition without the person's authority, the person's name and personal information must be eliminated, and the person must not be counted as a petitioner;

(H) Within thirty (30) days after the petition is filed, the county election commission shall complete a certificate as to its sufficiency or, if insufficient, specifying the particulars of the insufficiency, and shall send a copy to the person specified in the statement of intent to receive all notices and to the legislative body of the affected territory, all by registered mail. A petition certified insufficient for lack of the required number of valid signatures may be amended once by filing a supplemental petition upon additional sheets within thirty (30) days after receiving the certificate of insufficiency. The supplemental petition must comply with the requirements applicable to the original petition and, within ten (10) days after the supplemental petition is filed, the county election commission shall complete a certificate as to the sufficiency of the petition as amended and promptly send a copy of the certificate to the person specified to receive all notices and to the legislative body of the affected territory by registered mail; and

(I) A final determination as to the sufficiency of a petition is subject to review in the circuit court of the county of the affected territory and such review is limited to the validity of the county election commission's determination. A final determination of insufficiency shall not prejudice the filing of a new petition for the same purpose; and

(2) If, not later than the established deadline for nominating petitions for a regular November election, the county election commission has certified that a petition is sufficient or has received a local government resolution pursuant to subsection (b) or (c), then the county election commission must have prepared to place before the voters of the affected territory at the next regular election the question, which shall be "Are you in favor of the sale of medical cannabis at a licensed dispensary and the operation of other cannabis businesses in (affected territory)? Yes / No". The county election commission must cause to be published in accordance with § 2-5-211, the full text of the proposal.

(f) If the question submitted to the voters under subsection (e) fails to pass, one (1) year must elapse before the question of medical cannabis sales and cannabis business operations may be included on a regular election ballot for the affected territory.

(g) If the question submitted to the voters under subsection (e) passes, medical cannabis sales and cannabis business operations may be conducted in the affected territory, notwithstanding any local government ordinances which prohibit all cannabis business operations within its territory.

(h) In circumstances where a county prohibits cannabis business operations, but a municipality within that county approves cannabis business operations either through the adoption of an ordinance or following the affirmative vote of a public question allowing cannabis business operations, then:

(1) The cannabis business operations may proceed within the limits of the municipality; and

(2) The county may assess an additional reasonable fee to compensate for any additional corrections impact caused by the approval of cannabis business operations. Any additional fees collected pursuant to this subsection

(h) must not exceed the additional corrections impact caused by the approval of cannabis business operations.

(i) In circumstances where neither a municipality nor the county in which the municipality is located prohibit cannabis business operations, a cannabis business that is located within the jurisdiction of both the municipality and the county shall only pay the reasonable established local fees of either the municipality or the county. The fee must be established, assessed, collected, and shared between the municipality and the county in a manner to be negotiated between the municipality and the county.

(j) The provisions of general election law apply to public questions submitted to voters under this section.

(k) Notwithstanding another provision of this part, medical cannabis businesses are not automatically allowed to operate in any municipality or county, and a municipality or county vote must happen first to approve cannabis business operations before any licensed cannabis business may commence operations within that jurisdiction.

68-7-228. Confidential list of patients; penalty.

(a) The department must maintain a confidential list of the registered qualified patients and their addresses, telephone numbers, and registry identification numbers.

(b) The department must, only at a qualified patient's request, confirm the patient's status as a registered qualified patient, visiting qualified patient, or designated caregiver to a third party, such as a landlord, employer, school, medical professional, or court.

(c)

(1) The following information received and records kept pursuant to the department's administrative regulations promulgated for purposes of administering this part are confidential and are not subject to the open records law, compiled in title 10, chapter 7, and are not subject to disclosure to any

individual or public or private entity, except as necessary for authorized employees of the department to perform official duties pursuant to this part:

(A) Applications and renewals, including the contents and supporting information submitted by qualified patients and visiting qualified patients and information regarding medical cannabis physicians;

(B) Any dispensing information, which must not contain names or other personal identifying information; and

(C) Any department hard drives or other data-recording media that are no longer in use and that contain patient information. The hard drives and other media must be destroyed after a reasonable time or after the data is otherwise stored.

(2) Data subject to this section must not be combined or linked in any manner with any other list or database maintained by the department and must not be used for any purpose not provided for in this part.

(d) This section does not preclude the following:

(1) Notification by the department's employees to state or local law enforcement about falsified or fraudulent information submitted to the department or of other apparently criminal violations of this part if the employee who suspects that falsified or fraudulent information has been submitted has conferred with the employee's supervisor and both agree that circumstances exist that warrant reporting;

(2) Notification by the department employees to a state licensing board if the department has reasonable suspicion to believe a medical cannabis physician did not have a bona fide physician-patient relationship with a qualified patient for whom the physician signed a prescription, if the department has reasonable suspicion to believe the medical cannabis physician violated the

standard of care, or for other suspected violations of this part by a medical cannabis physician;

(3) Notification by dispensary agents to the department of a suspected violation or attempted violation of this part or the administrative regulations promulgated thereunder; and

(4) The submission of the report required by § 68-7-202.

(e) A person commits a Class A misdemeanor who knowingly releases information in violation of this section.

68-7-229. Electronic monitoring system.

(a) No later than six (6) months after the effective date of this act, the department must:

(1) Ensure that an electronic monitoring system is designed or configured to enable:

(A) Medical cannabis physicians to record the issuance of prescriptions to qualified patients;

(B) The department and commission to monitor the issuance of prescriptions by medical cannabis physicians;

(C) Department personnel, law enforcement personnel, and dispensary agents to verify the validity of registry of qualified patients;

(D) Law enforcement personnel and dispensary agents to access medical cannabis sales data recorded by dispensary agents;

(E) Dispensary agents to record the amount of medical cannabis that is dispensed to a qualified patient during each transaction; and

(F) The sharing of dispensing data recorded by dispensary agents with all dispensaries in real time;

(2) Ensure that the electronic monitoring system is designed to facilitate the tracking of medical cannabis from the point of cultivation to the point of sale to qualified patients;

(3) Procure and maintain a centralized computer software tracking system that tracks cannabis from seed or immature plant stage through growth, harvest, and processing, to testing, transport, recall of product and sale, and allows real-time, twenty-four-hour access by the department to data from each medical cannabis business licensed under this part. The tracking system must uniquely identify and track each cannabis plant, package, and product. Each medical cannabis business is responsible for ensuring that all medical cannabis sold or disbursed to a registered qualifying patient or registered designated caregiver is recorded in the tracking system as a purchase by or on behalf of the applicable registered qualifying patients. Each medical cannabis licensee shall use the tracking system established by the department, either directly or by integrating its own enterprise software system with the tracking system. Each medical cannabis licensee shall be responsible for the costs associated with compliance;

(4) Establish:

(A) Procedures for the issuance, renewal, suspension, and revocation of registry identification cards, including the creation of a standardized:

(i) Prescription form; and

(ii) Application form, which the department must require to be notarized;

(B) Procedures for the issuance and revocation of qualified patient registrations;

(C) Procedures for the issuance, renewal, suspension, and revocation of cannabis business licenses, including the creation of a uniform licensure application form, which the department shall require to be notarized, and minimal performance standards for a biennial accreditation process;

(D) A convenience fee to be assessed and collected by dispensaries for visiting qualified patients who do not possess a valid registry identification card issued by the department and who purchase medical cannabis with an out-of-state registry identification card and documentation of having been diagnosed with a qualifying medical condition. The convenience fee established pursuant to this subdivision (a)(4)(D) must not exceed fifteen dollars (\$15.00) per transaction;

(E) In collaboration with the board of medical examiners, board of nursing, and the commission, an amount of medical cannabis or delta-9 tetrahydrocannabinol that constitutes a daily supply, an uninterrupted ten-day supply, and an uninterrupted thirty-day supply of medical cannabis;

(F) A process by which a medical cannabis physician may recommend, and a registered qualified patient or the patient's designated caregiver may legally purchase and possess, an amount of medical cannabis in excess of the thirty-day supply of medical cannabis, if the medical cannabis physician reasonably believes that the standard thirty-day supply would be insufficient in providing the patient with uninterrupted therapeutic or palliative relief;

(G) Provisions governing the following matters related to cannabis businesses with the goal of protecting against diversion and theft, without imposing any undue burden that would make cannabis

business operations unreasonable or impractical on cannabis businesses or compromising the confidentiality of patients:

(i) Recordkeeping and inventory control requirements, including the use of the electronic monitoring system;

(ii) Procedures for the verification and validation of a registry identification card, or its equivalent, that was issued pursuant to the laws of another state, district, territory, commonwealth, or insular possession of the United States that allows for the use of medical cannabis in the jurisdiction of issuance;

(iii) Security requirements for testing laboratories, processors, dispensaries, and cultivators, which must include, at a minimum, lighting, video security, alarm requirements, on-site parking, and measures to prevent loitering;

(iv) Procedures for the secure transportation, including delivery services provided by dispensaries, and storage of medical cannabis by cannabis business licensees and the licensee's employees or agents;

(v) Employment and training requirements for licensees and the licensee's agents, including requiring each licensee to create an identification badge for each of the licensee's agents or employees; and

(vi) Restrictions on visits to licensed cultivation and processing facilities, including requiring the use of visitor logs;

(H) Procedures to establish, publish, and annually update a list of varieties of cannabis that possess a low but effective level of tetrahydrocannabinol, including the substance cannabidiol, by comparing

percentages of chemical compounds within a given variety against other varieties of cannabis;

(I) A rating system that tracks the terpene content of at least the twelve (12) major terpenoids within each strain of cannabis available for medical use within this state;

(J) Requirements for random sample testing of medical cannabis to ensure quality control, including testing for cannabinoids, terpenoids, residual solvents, pesticides, poisons, toxins, mold, mildew, insects, bacteria, and any other dangerous adulterant;

(K) Requirements for licensed cultivators and processors to contract with an independent testing laboratory to test the medical cannabis before it is sold at a dispensary. The department may approve the testing laboratory chosen by a cultivator or processor and require that the testing laboratory report test results for a designated quantity of medical cannabis to the cultivator or processor and department;

(L) Standards for the operation of testing laboratories, which may include:

(i) Requirements for equipment;

(ii) Personnel qualifications; and

(iii) Requiring facilities to be accredited by a relevant certifying entity;

(M) Standards for the packaging and labeling of medical cannabis sold or distributed by cannabis businesses which must comply with 15 U.S.C. §§ 1471-1476 and include:

(i) Packaging that requires at least a two-step process of initial opening;

(ii) A warning label which may include the length of time in which the product typically takes effect, how long the effects of the product typically last, and any other information deemed appropriate or necessary by the department;

(iii) The amount of medical cannabis the product is considered the equivalent to;

(iv) Disclosure of ingredients, possible allergens, and certain bioactive components, including cannabinoids and terpenoids, as determined by the department;

(v) A nutritional fact panel;

(vi) Opaque, child-resistant packaging;

(vii) A requirement that medical cannabis products be clearly marked with an identifiable and standardized symbol indicating that the product contains cannabis;

(viii) A requirement that all medical cannabis product packaging include an expiration date; and

(ix) A requirement that medical cannabis products and their packaging not be visually reminiscent of major brands of edible non-cannabis products or otherwise present an attractive nuisance to minors;

(N) Health and safety requirements for the processing of medical cannabis and the indoor cultivation of medical cannabis by licensees;

(O) Restrictions on:

(i) Additives to medical cannabis that are toxic, including vitamin E acetate, or increase the likelihood of addiction; and

(ii) Pesticides, fertilizers, and herbicides used during medical cannabis cultivation which pose a threat to human health and safety;

(P) Standards for the safe processing of medical cannabis products created by extracting or concentrating compounds from raw plant material;

(Q) Restrictions on advertising, marketing, and signage in regard to operations or establishments owned by licensees necessary to prevent the targeting of minors;

(R) The requirement that evidence-based educational materials regarding dosage and impairment be disseminated to registered qualified patients, visiting qualified patients, and designated caregivers who purchase medical cannabis products;

(S) Policies governing insurance requirements for cultivators, dispensaries, processors, and testing laboratories; and

(T) Standards, procedures, or restrictions that the department deems necessary to ensure the efficient, transparent, and safe operation of the medical cannabis program, except that the department must not promulgate any administrative regulation that would impose an undue burden or make cannabis business operations unreasonable or impractical.

(b) Except as provided this section, the department shall not restrict or limit methods of delivery, use, or consumption of medical cannabis or the types of products that may be acquired, produced, processed, possessed, sold, or distributed by a cannabis business.

(c) If a need for additional cannabis cultivation, processing, or dispensaries in this state is demonstrated by the department's own analysis, then the department may

request the commission to consider the additional cultivation, processing, or dispensary locations within the zones.

(d) When promulgating regulations and procedures under this section, the department must consider standards, procedures, and restrictions that have been found to be best practices relative to the use and regulation of medical cannabis.

68-7-230. Department of health.

(a) Upon the effective date of the federal government's rescheduling of cannabis from Schedule I to Schedule III under the Controlled Substances Act, 21 U.S.C. § 801 et seq., as evidenced by publication of a final rule in the Federal Register or other official federal action, the department of health is hereby required to oversee and administer the state's medical cannabis program, with the department authorized to enact emergency hiring measures to achieve operational staffing within ninety (90) days of federal rescheduling.

(b) The department of health must notify the public of the license application process within one hundred twenty (120) days of federal rescheduling and shall begin accepting license applications for medical cannabis cultivators, processors, and dispensaries at one hundred eighty (180) days following federal rescheduling.

(c) The department of health is authorized to promulgate emergency rules and regulations necessary to implement the medical cannabis program, to modify program regulations to ensure consistency with federal Schedule III requirements, to facilitate licensee access to banking and financial services, to promote medical and scientific research on cannabis, to enter into interstate compacts for regulated interstate commerce in medical cannabis products when authorized by federal law, and to take any other actions necessary to establish and operate a medical cannabis program in this state following federal rescheduling, and the department shall submit a report to the general assembly within six (6) months of federal rescheduling detailing the status of licensee compliance with federal requirements, changes in banking access, interstate

commerce opportunities, research developments, and recommendations for any legislative adjustments to this state's medical cannabis tax structure, licensing framework, or program operations.

68-7-231. Medical marijuana research license fee waiver.

(a) Institutions of higher education may apply for a medical marijuana cultivation license for bona fide research purposes.

(b) All application fees and annual license fees must be waived for licenses issued to such institutions under this section.

(c) A license holder must comply with all applicable security, operational, and reporting requirements established by the department.

68-7-232. Commission to make notifications regarding qualifying medical conditions.

If the commission determines that sufficient scientific data and evidence exist to demonstrate that an individual diagnosed with that specific medical condition or disease that is not a qualifying medical condition is likely to receive medical, therapeutic, or palliative benefits from the use of medical cannabis, then the commission shall notify the general assembly in its annual report, pursuant to § 68-7-202.

68-7-233. Medical cannabis product recall.

(a) A licensed cannabis business must immediately recall medical cannabis flower, extracted material, or any medical cannabis product if:

- (1) Testing reveals contaminants, pesticides, heavy metals, mold, or other safety hazards exceeding department limits;
- (2) The product contains prohibited additives, including vitamin E acetate;
- (3) The product is mislabeled or incorrectly dosed;
- (4) Packaging fails child-safety requirements; or
- (5) The department orders a recall.

(b) Within two (2) hours of discovering a recall condition, the licensee must:

- (1) Notify the department by phone and email;
- (2) Stop all sales and distribution of the affected product;
- (3) Quarantine all affected inventory; and
- (4) Identify affected batch/lot numbers through the seed-to-sale tracking

system.

(c) Within twenty-four (24) hours, the licensee must submit to the department:

- (1) A description and identification of the recalled product;
- (2) The reason for the recall;
- (3) The quantity distributed and a list of dispensaries that received the

recalled product;

- (4) A plan for retrieving and destroying the product; and
- (5) The name of the recall coordinator.

(d)

(1) A licensee must notify all dispensaries that received the product within twenty-four (24) hours.

(2) A dispensary must immediately remove and quarantine the recalled product.

(3) The department must post public notice on its website within forty-eight (48) hours of a recall.

(4) For serious health hazards, dispensaries must attempt to contact affected patients.

(e)

(1) All recalled product must be retrieved from dispensaries within seven (7) days.

(2) Recalled product must be destroyed pursuant to department regulations.

(3) All destruction must be documented through the seed-to-sale tracking system.

(f)

(1) The penalty for failure to initiate a mandatory recall required by this section is license suspension and a fine of up to ten thousand dollars (\$10,000) per day.

(2) The penalty for failure to properly notify as required by this section is a fine of up to five thousand dollars (\$5,000) per violation.

(3) The penalty for continued sale of a recalled product is license revocation.

(4) The penalty for submitting false recall information is a fine of up to twenty-five thousand dollars (\$25,000) and license suspension.

(g) The licensee responsible for a recall must pay all recall costs, including the costs of notification, retrieval, and destruction.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect thirty (30) days following the effective date of the federal government's rescheduling of cannabis from Schedule I to Schedule III under the Controlled Substances Act, 21 U.S.C. § 801 et seq., as evidenced by publication of a final rule in the Federal Register or other official federal action, the public welfare requiring it. The commissioner of health shall notify in writing the Tennessee code commission of the occurrence of such act and what date is the thirtieth day following such occurrence.